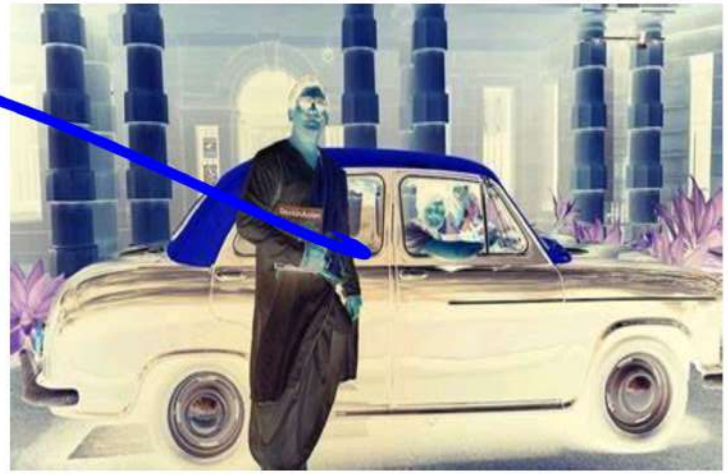
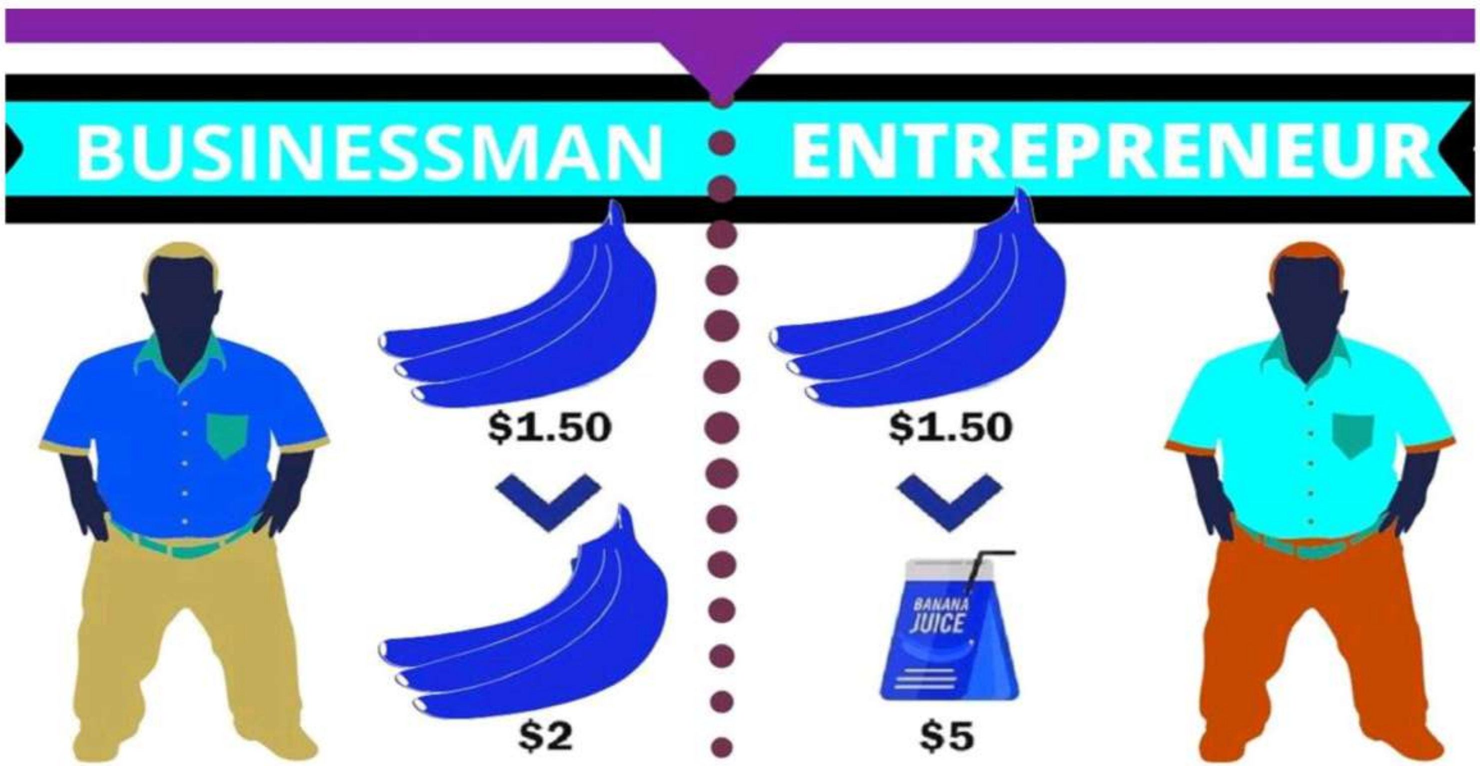
ENTREPRENUERSHIP & START-UP

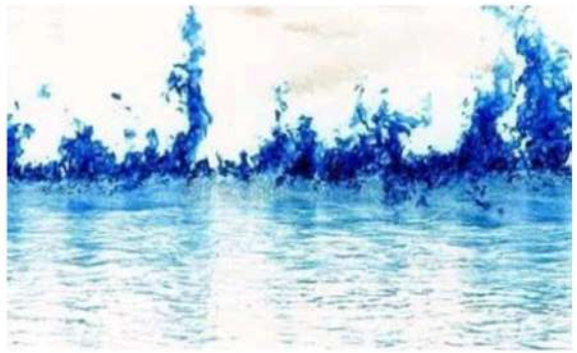
- **TOPIC:- ENTREPRENUER & BUSINESSMAN**



- **Bhavish Aggarwal the CEO of OLA Cabs is an entrepreneur & the activity performed by him is called entrepreneurship while the taxi driver who is the owner of taxi is a business man & the activity performed by him is called business.**


BUSINESSMAN
ENTREPRENEUR
$1.50
$2
$1.50
BANANA JUICE
$5

- **MEANING OF ENTREPRENUER:-**
- **An entrepreneur is a person who can visualize & materialize water in desert.**
- एक उद्यमी वह व्यक्ति होता है जो रेगिस्तान में पानी की कल्पना कर सकता है और उसे प्राप्त कर सकता है।
- **His foresightedness , motivation, persistent effort , ability to presume the risk involved ,their outcomes & trust to achieve the desired goals , facilitate him to convert idea into reality.**
- उनकी दूरदर्शिता, प्रेरणा, निरंतर प्रयास, शामिल जोखिम को समझने की क्षमता, उनके परिणाम और वांछित लक्ष्यों को प्राप्त करने के लिए विश्वास, उन्हें विचार को वास्तविकता में बदलने में मदद करते हैं।



- **There is misconception about entreprenuers that they are opportunity –seekers & selfish people , but in reality they are highly driven people trying to find solution to the “needs of people”**

- उद्यमियों के बारे में गलत धारणा है कि वे अवसर-चाहने वाले और स्वार्थी लोग हैं, लेकिन वास्तव में वे अत्यधिक प्रेरित लोग हैं जो "लोगों की जरूरतों" का समाधान खोजने की कोशिश कर रहे हैं।

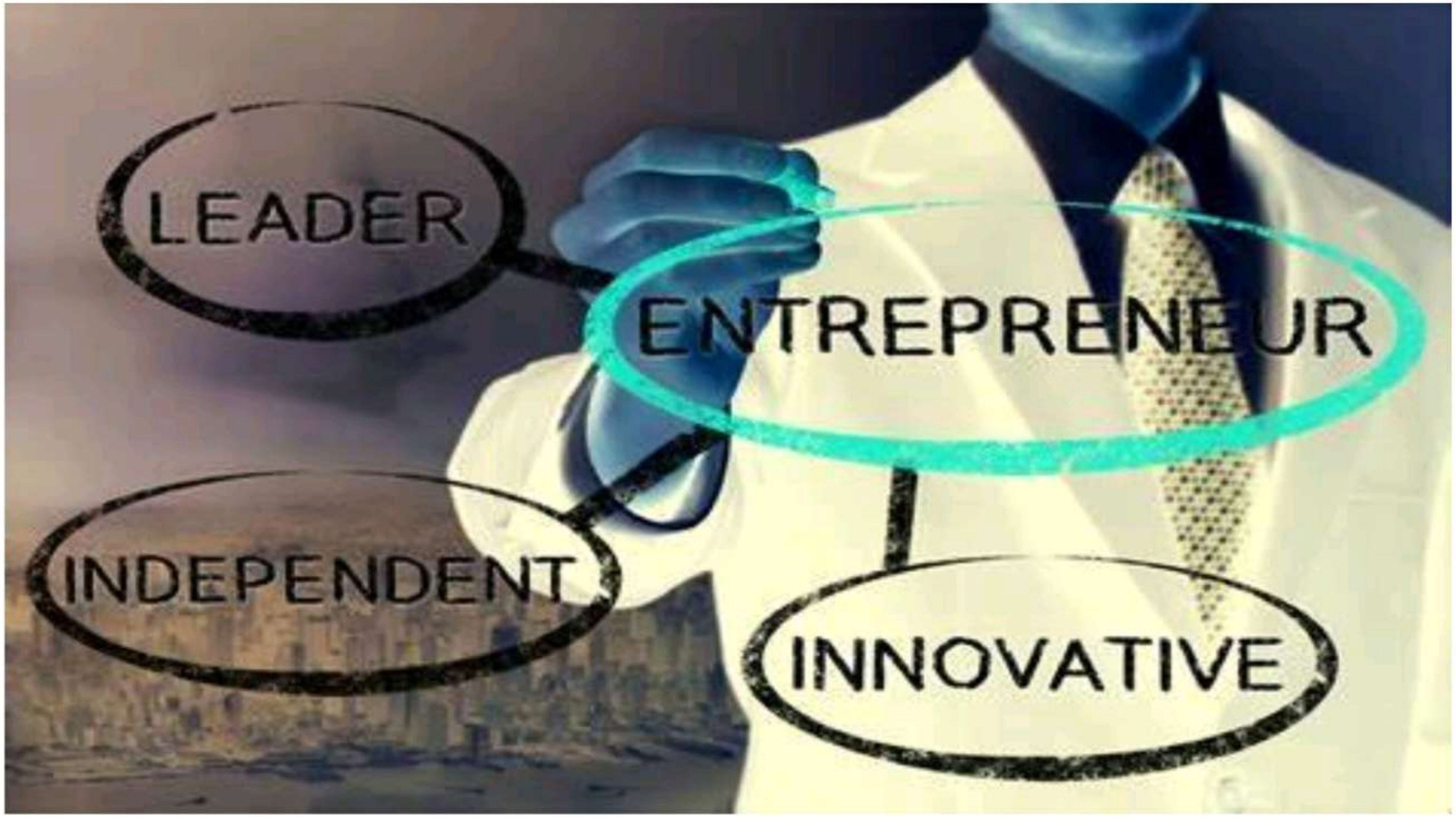
- **Entreprenuer is derived from the word ‘entreprendre’ which means to “undertake”.**

- एंटरप्रेन्योर 'एंटरप्रेन्डर' शब्द से लिया गया है जिसका अर्थ है प्रारंभ"" करना

DIFFERENCE BETWEEN ENTREPRENUER & BUSINESSMAN

ENTREPRENUER	BUSINESSMAN
An entrepreneur is a person who uses his idea to run a start up company.	A businessman is a person who start a business on an existing concept or idea.
Creates the market for his own business & is considered as market leader.	Makes his place in existing market & becomes a market player.
Faces a lot of risk & there is good chance of failure.	Less risk as it follow path created by other businessman.
Uses quite unconventional method.	Mostly uses traditional method.
Primarily focus to solve the problem of society.	Primarily focus on profit.

DEFINATION OF ENTREPRENUER



- The word “entrepreneur” refers to a kind of person who can undertake an enterprise with chance of both profit & loss.

- शब्द "उद्यमी" एक ऐसे व्यक्ति को संदर्भित करता है जो लाभ और हानि दोनों के अवसर के साथ एक उद्यम शुरू कर सकता है।

- “Entreprenuer” is a person who undertake a business activity of which he has no background & faces considerable risk in the process.

- "उद्यमी" एक ऐसा व्यक्ति है जो ऐसी व्यावसायिक गतिविधि करता है जिसकी उसकी कोई पृष्ठभूमि नहीं है और इस प्रक्रिया में काफी जोखिम का सामना करता है।

- If either of the two element ie “no background” and “considerable risk” is missing in venture / enterprise undertaken by the person then the person is not considered as an entrepreneur.

- यदि किसी व्यक्ति द्वारा किए गए उद्यम/उद्यम में दोनों में से कोई भी तत्व अर्थात "कोई पृष्ठभूमि नहीं" और "पर्याप्त जोखिम" गायब है तो व्यक्ति को उद्यमी नहीं माना जाता है |

- Entrepreneur are the socio-economic people who can detect & sense the business opportunity in the society. They establish & run an enterprise inorder to provide product & services to the society to fulfill the needs of society & earn profit in return of it.

- उद्यमी सामाजिक-आर्थिक लोग हैं जो समाज में व्यवसाय के अवसर का पता लगा सकते हैं और महसूस कर सकते हैं। वे समाज की जरूरतों को पूरा करने और इसके बदले में लाभ कमाने के लिए समाज को उत्पाद और सेवाएं प्रदान करने के लिए एक उद्यम की स्थापना और संचालन करते हैं।

- Defination of entrepreneur by some author:-

- 1. JOPSEPH A SCHUMPETER:-
- He refers entrepreneur as an innovator who initiate the process of economic & social development through introduction of new technology, new market, new product, new service by establishing new organization / industry/enterprise/venture.

- वह उद्यमी को एक नवप्रवर्तक के रूप में संदर्भित करता है जो नई तकनीक, नए बाजार, नए उत्पाद, नए संगठन/उद्योग/उद्यम/उद्यम की स्थापना करके नई सेवा की शुरुआत के माध्यम से आर्थिक और सामाजिक विकास की प्रक्रिया शुरू करता है।

- H.W.JANSON:-

- Entrepreneur is a person which characterized of three things invention, innovation, adoption.

- उद्यमी एक ऐसा व्यक्ति है जो आविष्कार, नवाचार, गोद लेने की तीन चीजों की विशेषता रखता है |

- According to international labour organization:-

- Entrepreneur are those are those people who has ability to see & evaluate business opportunity , together with necessary resources to take advantage of them & to initiate appropriate action to ensure success.

- उद्यमी वे लोग होते हैं जो व्यवसाय के अवसरों को देखने और उनका मूल्यांकन करने की क्षमता रखते हैं, साथ ही उनका लाभ उठाने के लिए आवश्यक संसाधन और सफलता सुनिश्चित करने के लिए उचित कार्रवाई शुरू करते हैं।

TRAITS/QUALITIES OF ENTREPRENUER

- Innovation:-

- As we know that entrepreneurship is a process of innovation. Thus the entrepreneur must have the vision & talent of introducing new technology, new product, new market e.t.v

- An entrepreneur must be creative & the activity he perform must have uniqueness.

- जैसा कि हम जानते हैं कि उद्‌यमिता नवाचार की एक प्रक्रिया है। यानी उद्‌यमी के पास नई तकनीकों, नए बाजार, नए उत्पाद आदि को पेश करने की दृष्टि और प्रतिभा होनी चाहिए।

- उद्‌यमी को रचनात्मक होना चाहिए और उसके द्‌वारा की जाने वाली गतिविधि में विशिष्टता होनी चाहिए।

- Risk bearing:-
- The business activities performed by the entrepreneur is full of risk & uncertainties.
- Thus the entrepreneur must have the ability to face & bear these risk without any panic.
- उद्यमी द्वारा की जाने वाली व्यावसायिक गतिविधियाँ जोखिम और अनिश्चितता से भरी होती हैं।
- उद्यमी में बिना किसी घबराहट के इन जोखिमों का सामना करने और सहन करने की क्षमता होनी चाहिए।

- Decision making:-
- Entrepreneur are independent people who like to be decision maker rather than decision implementers.
- They always like to give direction rather than take direction from other.
- Success of entrepreneur depends upon the ability to make decision promptly & accurately & this requires creative & analytical mind.
- उद्यमी स्वतंत्र लोग होते हैं जो निर्णय लागू करने वाले के बजाय निर्णय निर्माता बनना पसंद करते हैं।
- ये हमेशा दूसरों से निर्देश लेने के बजाय निर्देश देना पसंद करते हैं।
- उद्यमी की सफलता तुरंत और सटीक रूप से निर्णय लेने की क्षमता पर निर्भर करती है और इसके लिए रचनात्मक और विश्लेषणात्मक दिमाग की आवश्यकता होती है।

- Vision:-
- They must have clear & certain vision about what to do, why to do, from whom to do, where to do , & how to do.
- They must have the ability to preplan their work properly & organize their activity & resources properly before starting their work.
- क्या करना है, क्यों करना है, किससे करना है, कहां करना है और कैसे करना है, इसके बारे में उद्यमी के पास स्पष्ट और निश्चित दृष्टि होनी चाहिए।
- उनके पास अपना काम शुरू करने से पहले ठीक से अपने काम की पूर्व योजना बनाने और अपनी गतिविधि और संसाधनों को ठीक से व्यवस्थित करने की क्षमता होनी चाहिए।

- Self motivator:-
- Entrepreneur are highly motivated people who work with consistency towards the goal set by them .
- They never loose hope if encountered some initial failure.
- They always work with positive mindset .
- उद्यमी अत्यधिक प्रेरित लोग होते हैं जो अपने द्वारा निर्धारित लक्ष्य के प्रति निरंतरता के साथ काम करते हैं।
- अगर उन्हें शुरुआती असफलता का सामना करना पड़ा तो उन्होंने कभी उम्मीद नहीं छोड़ी।
- वे हमेशा सकारात्मक सोच के साथ काम करते हैं।

- Self confidence:-
- Entrepreneur must have self belief & be confident towards their business, their product & decision.
- This can be only possible when they are providing quality product at reasonable prices.
- उद्यमी को अपने व्यवसाय, अपने उत्पाद और निर्णय के प्रति आत्म विश्वास और विश्वास होना चाहिए।
- यह तभी संभव हो सकता है जब वे उचित मूल्य पर गुणवत्तापूर्ण उत्पाद उपलब्ध करा रहे हों।

- Perseverance:-

- This is the most demanded trait of entrepreneurs. Once they commit a goal they put their best effort to achieve.

- Entrepreneur are determined towards achieving success as well as growing their venture.

- They stay focused irrespective to hurdles in their way to success.

- दृढ़ता:-
- यह उद्यमियों की सबसे अधिक मांग वाली विशेषता है। एक बार जब वे एक लक्ष्य निर्धारित कर लेते हैं तो वे उसे प्राप्त करने के लिए अपना सर्वश्रेष्ठ प्रयास करते हैं।

- उद्यमी सफलता प्राप्त करने के साथ-साथ अपने उद्यम को बढ़ाने के लिए दृढ़ संकल्पित हैं।

- वे सफलता के रास्ते में आने वाली बाधाओं के बावजूद केंद्रित रहते हैं।

- Flexibility:-
- Entrepreneur show flexibility in their decision.
- They are always ready to modify their decision in case of adverse condition.
- They change their decision in accordance to present situation.
- उद्यमी अपने निर्णय में लचीलापन दिखाते हैं।
- विपरीत परिस्थिति में अपने निर्णय को बदलने के लिए ये हमेशा तैयार रहते हैं।
- वे वर्तमान स्थिति के अनुसार अपना निर्णय बदलते हैं।

- Time management:-
- As it is said that time is money.
- All successful entrepreneur allocates the time judiciously according to the priority of activities.
- They understand every minute is precious for them , hence doesn’t give unreasonable long time for their leisure.
- समय प्रबंधन:-
- जैसा कि कहा जाता है कि समय धन है।
- सभी सफल उद्यमी गतिविधियों की प्राथमिकता के अनुसार विवेकपूर्ण ढंग से समय का आवंटन करते हैं।वे समझते हैं कि हर मिनट उनके लिए कीमती है, इसलिए उनके अवकाश के लिए अनुचित लंबा समय नहीं देता है।

MOTIVATION IN ENTREPRENEURSHIP

- Entreprenuerial motivation is defined as a process which activates & motivates the entrepreneur to contribute his best effort for achievement of his goal.

- उद्यमशीलता अभिप्रेरणा को एक ऐसी प्रक्रिया के रूप में परिभाषित किया जाता है जो उद्यमी को अपने लक्ष्य की प्राप्ति के लिए अपना सर्वश्रेष्ठ प्रयास करने के लिए सक्रिय या प्रेरित करती है।

- Motivation is something which moves person to action & continues him in course of action already initiated.

- अभिप्रेरणा एक ऐसी चीज है जो व्यक्ति को कार्य करने के लिए प्रेरित करती है और उसे पहले से शुरू की गई कार्रवाई के क्रम में जारी रखती है।

- STEPS IN MOTIVATION:-

- Unsatisfied needs:- Motivation process begins when an entrepreneur need is unsatisfied or he feels something is lacking.

- अतृप्त आवश्यकताएँ :- अभिप्रेरणा की प्रक्रिया तब प्रारम्भ होती है जब किसी उद्यमी की आवश्यकताएँ पूर्ण नहीं होती या उसे कुछ कमी महसूस होती है।

- Tension:- when entrepreneur need is unsatisfied then frustration builds up in the mind.

- तनाव :- जब उद्यमी की आवश्यकता पूरी नहीं होती है तो मन में निराशा उत्पन्न होती है।

- Search behavior:- The entrepreneur selects the option available to satisfy his needs & works accordingly.

- खोज व्यवहार :- उद्यमी अपनी आवश्यकताओं की पूर्ति के लिए उपलब्ध विकल्प का चयन करता है और उसी के अनुसार कार्य करता है।

- Satisfied needs:- After a period of time entrepreneur evaluate whether or not his needs are met.
- संतुष्ट आवश्यकताएँ :- कुछ समय के बाद उद्यमी मूल्यांकन करता है कि उसकी आवश्यकताएँ पूरी हो रही हैं या नहीं।

- Reduced tension:- once the needs of entrepreneur is met then his frustration & tension gets relieved.
- तनाव में कमी:- एक बार जब उद्यमी की जरूरत पूरी हो जाती है तो उसकी हताशा और तनाव दूर हो जाता है

- CONCLUSION:-
- Motivation is based on needs.
- प्रेरणा जरूरतों पर आधारित है |
- Motivation is defined as willingness of an entrepreneur to make intense & persistence effort to achieve the goal inorder to fulfill his needs.
- अभिप्रेरणा को एक उद्यमी की अपनी जरूरतों को पूरा करने के लिए लक्ष्य को प्राप्त करने के लिए तीव्र और लगातार प्रयास करने की इच्छा के रूप में परिभाषित किया जाता है।

TYPES OF MOTIVATION

- There are various types of motivation as follows:-

1. Positive motivation:-

- It is type of motivation in which any employee of the organization is appreciated according to his capabilities which creates willingness in employee to work with full effort in order to complete his goal.

- यह एक प्रकार की प्रेरणा है जिसमें संगठन के किसी भी कर्मचारी को उसकी क्षमताओं के अनुसार सराहा जाता है जो कर्मचारी में अपने लक्ष्य को पूरा करने के लिए पूरे प्रयास के साथ काम करने की इच्छा पैदा करता है।

- This type of motivation develops a positive & cheerful working environment in the enterprise.

- इस प्रकार की अभिप्रेरणा उद्यम में एक सकारात्मक और प्रफुल्लित कार्य वातावरण विकसित करती है।

2. Negative motivation:-

- Main aim of motivation is to create willingness inside the employee of enterprise to work with full effort, such motivation in which the willingness to perform the work is created or achieved by developing fear in the employee.

- अभिप्रेरणा का मुख्य उद्देश्य उद्यम के कर्मचारी के अन्दर पूर्ण प्रयास के साथ कार्य करने की इच्छा पैदा करना है, ऐसी प्रेरणा जिसमें कर्मचारी में भय उत्पन्न कर कार्य करने की इच्छा पैदा की जाती है या प्राप्त की जाती है।

- In this type of motivation the employee are afraid of punishable consiquences of not doing particular work in right way hence causes them to work with full effort.

- इस प्रकार की अभिप्रेरणा में कर्मचारियों को किसी विशेष कार्य को सही ढंग से न करने के दंडनीय परिणामों का भय होता है, इसलिए उन्हें पूरे प्रयास के साथ कार्य करने के लिए प्रेरित करता है।

3. Rational motivation:-

- Those motivation in which the personal analyses the benefits & drawbacks of all optional available for work to achieve his goal & enables him to work with best suitable working option.

- वह प्रेरणा जिसमें व्यक्ति अपने लक्ष्य को प्राप्त करने के लिए कार्य के लिए उपलब्ध सभी वैकल्पिक के लाभ और कमियों का विश्लेषण करता है और उसे सर्वोत्तम उपयुक्त कार्य विकल्प के साथ काम करने में सक्षम बनाता है।

- Emotional motivation:-

- Those motivation in which feeling & joy of success is developed in mindset of employee/ entrepreneur which creates willingness to do his work with good effort.

- वह अभिप्रेरणा जिसमें कर्मचारी/उद्यमी की मानसिकता में सफलता की भावना एवं खुशी का विकास हो जो अपने कार्य को अच्छे प्रयास से करने की इच्छा पैदा करे।

- 5. Intrinsic motivation:-
- This kind of motivation is generated internally & doesn’t need any outside factor like financial rewards, promotional reward or grades to creates willingness to do work or perform task.

- इस तरह की प्रेरणा आंतरिक रूप से उत्पन्न होती है और काम करने या कार्य करने की इच्छा पैदा करने के लिए वित्तीय पुरस्कार, प्रचार इनाम या ग्रेड जैसे किसी बाहरी कारक की आवश्यकता नहीं होती है।

6. Extrinsic motivation:-

- The motivation resulting due to outside factors like financial rewards ,promotional rewards or grades recognisation to creates willingness to do work or perform task.

- इस तरह की प्रेरणा बाहरी कारकों जैसे वित्तीय पुरस्कार, काम करने या कार्य करने की इच्छा पैदा करने के लिए ग्रेड मान्यता के लिए प्रचार पुरस्कार के कारण होती है।

- Extrinsic motivation are of two types:-

- 1.)financial motivation:-
- These motivation is monetary in nature as it can be measured in terms of money like salary, wages, allowances, bonus etc.

- ये प्रेरणा प्रकृति में मौद्रिक है क्योंकि इसे वेतन, मजदूरी, भत्ते, बोनस आदि जैसे धन के रूप में मापा जा सकता है।

- 2.) non financial motivation:-

- It is non monetary in nature as it can’t be measured in terms money.
- In this person is motivated by job enrichment, appreciation, growth opportunity etc.

- यह प्रकृति में गैर-मौद्रिक है क्योंकि इसे पैसे के संदर्भ में नहीं मापा जा सकता है।इसमें व्यक्ति नौकरी संवर्धन, प्रशंसा, विकास के अवसर आदि से प्रेरित होता है।

BUSINESS STRUCTURE

- A business structure refers to how a company wants to represent itself legally in the industry on formation on the basis of profit & loss ,taxation , liabilities, no of members. Role of members etc. It is the type of setup that allows and restricts activities a business undertakes after its establishment.

- एक व्यावसायिक संरचना से तात्पर्य है कि कैसे एक कंपनी लाभ और हानि, कराधान, देनदारियों, सदस्यों की संख्या के आधार , सदस्यों की भूमिका आदिपर उद्योग में कानूनी रूप से अपना प्रतिनिधित्व करना चाहती है। यह एक प्रकार का सेटअप है जो किसी व्यवसाय की स्थापना के बाद की जाने वाली गतिविधियों को अनुमति देता है और प्रतिबंधित करता है।

- A business structure is a legal representation of the organization of a company. It defines who owns a company and how the business distributes its profits.

- एक व्यावसायिक संरचना एक कंपनी के संगठन का कानूनी प्रतिनिधित्व है। यह परिभाषित करता है कि कंपनी का मालिक कौन है और व्यवसाय अपने लाभ को कैसे वितरित करता है।

- TYPES OF BUSINESS STRUCTURE:-

1.Sole Proprietorship 2.Partnership 3.Limited Liability Company (LLC) 4.Corporations.

- Sole Proprietorship.
- A structure is termed sole proprietorship when a person is the sole owner of a business.
- एक संरचना को एकमात्र स्वामित्व कहा जाता है जब कोई व्यक्ति किसी व्यवसाय का एकमात्र स्वामी होता है।

- It is a simple setup where the owner is the single person responsible for the daily business operations.
- यह एक सरल सेटअप है जहां मालिक दैनिक व्यवसाय संचालन के लिए जिम्मेदार अकेला व्यक्ति होता है |

- The revenues and liabilities are merged into their personal accounts, which are calculated and taxed on a personal level.

- इस प्रकार, राजस्व और देनदारियों को उनके व्यक्तिगत खातों में मिला दिया जाता है, जिनकी गणना और व्यक्तिगत स्तर पर कर लगाया जाता है।

Features of Sole Proprietorship

The main features of a Sole Proprietorship are as follows:

- Legal Formalities – No legal formalities are required to either commence or to shut down a sole proprietorship. But the owner must have a special license or certificate to run the business for specific occupations. For example, a sole proprietor planning to start a pharmacy must have a pharmacist's degree.

- कानूनी औपचारिकताएं - एकल स्वामित्व शुरू करने या बंद करने के लिए किसी कानूनी औपचारिकता की आवश्यकता नहीं है। लेकिन विशिष्ट व्यवसायों के लिए व्यवसाय चलाने के लिए मालिक के पास एक विशेष लाइसेंस या प्रमाणपत्र होना चाहिए। उदाहरण के लिए, फार्मेसी शुरू करने की योजना बनाने वाले एकमात्र मालिक के पास फार्मासिस्ट की डिग्री होनी चाहिए।

- Risk and reward – A sole proprietor has complete ownership over the profits or losses from their firm's operations.

- जोखिम और इनाम - एक एकल मालिक का अपनी फर्म के संचालन से होने वाले लाभ या हानि पर पूर्ण स्वामित्व होता है।

- Control – The rights and responsibilities of a sole proprietorship lies solely with its owner. No other person can interfere in the business activities of a sole proprietor without prior permission.

- नियंत्रण - एकल स्वामित्व के अधिकार और उत्तरदायित्व केवल उसके स्वामी के पास होते हैं। बिना पूर्वानुमति के कोई भी व्यक्ति एकल स्वामी की व्यावसायिक गतिविधियों में हस्तक्षेप नहीं कर सकता है।

- Unlimited Liability – The sole proprietor is liable for the success or failure of their financial transactions. In case the proprietor takes a loan and fails to repay it, the creditors can attach the business owner's property to recover the loans.

- असीमित दायित्व - एकमात्र मालिक अपने वित्तीय लेनदेन की सफलता या विफलता के लिए उत्तरदायी होता है। यदि मालिक ऋण लेता है और उसे चुकाने में विफल रहता है, तो लेनदार ऋण की वसूली के लिए व्यवसाय के स्वामी की संपत्ति संलग्न कर सकते हैं।

- Advantages –

- Swift decisions – A sole proprietor has complete responsibility in terms of making business decisions. It results in faster decision-making for the business as there is no need to consult multiple parties for every minor issue.

- त्वरित निर्णय - व्यवसाय निर्णय लेने के मामले में एक एकल मालिक की पूरी जिम्मेदारी होती है। इसका परिणाम व्यवसाय के लिए तेजी से निर्णय लेने में होता है क्योंकि हर मामूली मुद्दे के लिए कई पक्षों से परामर्श करने की आवश्यकता नहीं होती है।

- Confidentiality – A sole proprietor can keep all business-related information to themselves as the business's only decision-maker. The law does not bind them to make the accounts of a sole proprietorship public.

- गोपनीयता - एक अकेला मालिक व्यवसाय से संबंधित सभी जानकारी को व्यवसाय के एकमात्र निर्णयकर्ता के रूप में अपने पास रख सकता है। कानून उन्हें एकल स्वामित्व के खातों को सार्वजनिक करने के लिए बाध्य नहीं करता है।

- Profit-sharing – A sole proprietor has complete ownership of profits arising from business operations. They are not obligated to share profits with anyone else.

- लाभ-साझाकरण - एक एकल मालिक के पास व्यवसाय संचालन से उत्पन्न लाभ का पूर्ण स्वामित्व होता है। वे किसी और के साथ लाभ साझा करने के लिए बाध्य नहीं हैं।

- Disadvantages –

- Lack of Resources – It is challenging to raise vast amounts of capital in a sole proprietorship compared to a partnership or company. This form of business runs mainly on personal savings and borrowings made by its owner. Lack of adequate finances can become an obstacle in growing the business.

- संसाधनों की कमी - साझेदारी या कंपनी की तुलना में एकल स्वामित्व में बड़ी मात्रा में पूंजी जुटाना चुनौतीपूर्ण होता है। व्यवसाय का यह रूप मुख्य रूप से उसके मालिक द्वारा की गई व्यक्तिगत बचत और उधार पर चलता है। पर्याप्त धन की कमी व्यवसाय को बढ़ाने में बाधा बन सकती है।

- Dependence on owner – The owner and their business are a singular entity in a sole proprietorship. While this has several advantages, the continuity of this form of business depends solely on the owner's well being. In case of death, insolvency, imprisonment, etc., it can shut down if there is no successor or heir to continue the business.

- मालिक पर निर्भरता - मालिक और उनका व्यवसाय एकमात्र स्वामित्व में एक विलक्षण इकाई है। जबकि इसके कई फायदे हैं, व्यवसाय के इस रूप की निरंतरता पूरी तरह से मालिक की भलाई पर निर्भर करती है। मृत्यु, दिवालियापन, कारावास आदि के मामले में, व्यवसाय को जारी रखने के लिए कोई उत्तराधिकारी या वारिस नहीं होने पर इसे बंद किया जा सकता है |

- Unlimited Liability – If the proprietor cannot pay debts arising out of business from its assets, his/her personal property is also at stake. This results in sole traders taking zero or very minimal risks to ensure the survival of the business.

- असीमित दायित्व – यदि मालिक अपनी संपत्ति से व्यवसाय से उत्पन्न ऋण का भुगतान नहीं कर सकता है, तो उसकी निजी संपत्ति भी दांव पर है। इसका परिणाम यह होता है कि एकल व्यापारी व्यवसाय के अस्तित्व को सुनिश्चित करने के लिए शून्य या बहुत कम जोखिम लेते हैं।

PARTNERSHIP

- A partnership is a type of business structure that is formed by a group of two or more individuals.

- साझेदारी एक प्रकार की व्यावसायिक संरचना है जो दो या दो से अधिक व्यक्तियों के समूह द्वारा बनाई जाती है।

- In such a business, the members mutually agree to bear the profits and losses. The profit of the business is shared between the members. Consequently, the losses are also distributed among the members.

- ऐसे व्यवसाय में, सदस्य परस्पर लाभ और हानि वहन करने के लिए सहमत होते हैं। व्यवसाय का लाभ सदस्यों के बीच साझा किया जाता है। नतीजतन, नुकसान भी सदस्यों के बीच वितरित किया जाता है।

- The members involved in the Partnership are known individually as partners , while they are collectively known as a firm. A partner in the firm will be liable for the actions of the other members of the firm.

- साझेदारी में शामिल सदस्यों को व्यक्तिगत रूप से भागीदारों के रूप में जाना जाता है, जबकि उन्हें सामूहिक रूप से एक फर्म के रूप में जाना जाता है। फर्म में एक भागीदार फर्म के अन्य सदस्यों के कार्यों के लिए उत्तरदायी होगा।

- The members of the firm are bound by the Partnership Deed, and no member can take a sole decision without consulting the other partners.

- फर्म के सदस्य पार्टनरशिप डीड से बंधे होते हैं, और कोई भी सदस्य अन्य भागीदारों से परामर्श किए बिना एकमात्र निर्णय नहीं ले सकता है।

- CHARACTERSTICS:-

- Two or more persons: To form a partnership, there must be at least 2 partners who are competent to contract and who are not minor, persons of unsound mind and persons disqualified by any law. The maximum number of the partners in the firm cannot exceed 50 vide Rule 10 of the Companies Rules, 2014 as prescribed by the Central Government.

- दो या दो से अधिक व्यक्ति: एक साझेदारी बनाने के लिए, कम से कम 2 भागीदार होने चाहिए जो अनुबंध करने के लिए सक्षम हों और जो नाबालिग न हों, विकृत दिमाग वाले व्यक्ति हों और किसी भी कानून द्वारा अयोग्य हों। केंद्र सरकार द्वारा निर्धारित कंपनी नियम, 2014 के नियम 10 के तहत फर्म में भागीदारों की अधिकतम संख्या 50 से अधिक नहीं हो सकती है।

- Agreement- Partners, who decide to start this business, have to make a formal mutual contract between them. This agreement is usually written following the norms of government act.

- एग्रीमेंट- पार्टनर्स, जो इस व्यवसाय को शुरू करने का निर्णय लेते हैं, उनके बीच एक औपचारिक आपसी अनुबंध करना होता है। यह समझौता आमतौर पर सरकारी अधिनियम के मानदंडों का पालन करते हुए लिखा जाता है।

- Share of Profit- One of the primary features of Partnership is to make and share the profit among the partners as per agreed ratios. However, the income will be distributed equally if there's no clause mentioned in the agreement about the same.

- लाभ का हिस्सा- साझेदारी की प्राथमिक विशेषताओं में से एक साझेदारों के बीच सहमत अनुपात के अनुसार लाभ बनाना और साझा करना है। हालांकि, आय को समान रूप से वितरित किया जाएगा यदि इसके बारे में समझौते में कोई खंड उल्लिखित नहीं है।

- Liabilities- In general partnerships, all the partners are subjected to liabilities. It means all of them are collectively responsible for recovering all debts of the firm, even if they have to liquidate their personal assets.

- ADVANTAGES:-

- Easy to Start- A simple agreement, verbal or written, is enough to initiate a Partnership firm.

- Flexible Operations- There is a considerable scope for making changes in the business operations and strategies if the partners think these are needed for overall growth of the firm.

- Greater Resources- Since partnership comprises financial contribution from all partners, it infuses large capital to business. As a result, it increases a firm's borrowing capacity.

- Reduced Risk Factor- As all the incomes and losses are divided among the partners, the risk for the losing money or defaulting can be narrowed down substantially.

- Combined Skills- Another great advantage of partnership has to be the combination of unique ideas, knowledge and skills from different partners with expertise in their respective fields.

- DISADVANTAGES:-

- Unlimited liability: In a partnership business, the partners agree to share all the losses and profits between them. The partners are also entitled to take responsibility for all the debts, even if they are not their debts. The liability of all the partners is not limited. This is usually a burden on the personal properties and finances of the partners.

- Blocking of capital: If a partner wishes to withdraw their wealth from the firm, they can not do so alone. If the other partners agree to it, only then is withdrawal possible.

- Lack of public trust: The public has less confidence in partnership firms since their annual reports and accounts are not published.

- Difficulty in decision making: In a partnership business, the consent of every partner is needed before making a decision. From minor to major, all decisions require the approval of all partners.

LIMITED LIABILITY PARTNERSHIP

- In a partnership firm the liability of the partners are unlimited that is upto the extent of their personal assets also.

- एक साझेदारी फर्म में भागीदारों का दायित्व असीमित होता है जो कि उनकी व्यक्तिगत संपत्तियों की सीमा तक भी होता है।

- To overcome this problem the government introduced a law in 2008 known as LLP2008 & will become effected from 01/04/2009.

- इस समस्या को दूर करने के लिए सरकार ने 2008 में LLP2008 के नाम से एक कानून पेश किया और 01/04/2009 से प्रभावी हो जाएगा।

- LLP is basically a partnership firm which is registered as per LLP act 2008 under the ministry of common affairs.

- एलएलपी मूल रूप से एक साझेदारी फर्म है जो सामान्य मामलों के मंत्रालय के तहत एलएलपी अधिनियम 2008 के अनुसार पंजीकृत है।

- In LLP the liability of the firm is limited to asset of the firm & limited to the contribution of partners in the firm .

- एलएलपी में फर्म की देनदारी फर्म की संपत्ति तक सीमित है और फर्म में भागीदारों के योगदान तक सीमित है।

- In LLP the liability of firm is not upto the extent of the personal asset of partners that in simple language the asset of partners are not at risk.

- एलएलपी में फर्म की देनदारी भागीदारों की व्यक्तिगत संपत्ति की सीमा तक नहीं होती है कि सरल भाषा में भागीदारों की संपत्ति जोखिम में नहीं होती है।

- In LLP firm the LLP agreement is done between partners to govern their rights & duties & to decide profit sharing as per their contribution.

- एलएलपी फर्म में भागीदारों के बीच उनके अधिकारों और कर्तव्यों को नियंत्रित करने और उनके योगदान के अनुसार लाभ साझा करने का निर्णय लेने के लिए एलएलपी समझौता किया जाता है।

- In LLP minimum two designated member are required to established the firm in which one must be resident of india.

- एलएलपी में फर्म की स्थापना के लिए न्यूनतम दो नामित सदस्यों की आवश्यकता होती है जिसमें एक व्यक्ति को भारत का निवासी होना चाहिए।

- ADVANTAGES:-

- Lower compliances & fewer regulation:-
- In LLP there is not required to appoint general manager ,company secretary as in company which means to operate the company there are not much rules & regulations to be followed.
- There is no director report culture.

- एलएलपी में कंपनी के रूप में महाप्रबंधक, कंपनी सचिव नियुक्त करने की आवश्यकता नहीं है, जिसका अर्थ है कि कंपनी को संचालित करने के लिए बहुत अधिक नियमों और विनियमों का पालन नहीं करना पड़ता है।
- कोई निदेशक रिपोर्ट संस्कृति नहीं है।

- Limited liability of partners:-
- In LLP the personal assets of partners are not at risk. The liability of partners are limited to their contribution in firm.

- एलएलपी में भागीदारों की व्यक्तिगत संपत्ति जोखिम में नहीं होती है।

- Better goodwill due to transparency in the system:-
- In LLP the understanding between partners are very good as because every thing is mentioned in agreement paper. There is no oral commitments each and every things are mentioned on paper & submitted in ROC (registar of company) office.

- एलएलपी में भागीदारों के बीच समझ बहुत अच्छी होती है क्योंकि समझौते के कागज में हर चीज का उल्लेख होता है। कोई मौखिक प्रतिबद्धता नहीं है और हर चीज का उल्लेख कागज पर किया गया है और आरओसी (कंपनी के रजिस्ट्रार) कार्यालय में जमा किया गया।

- LLP is a separate legal entity ie if there is death of any partners then the firm will not dissolved it will remains continues which will be not done in partnership firm.

- DISADVANTAGES:-

- Inability to raise venture capital through liquidity funding like funding from share market or mutual fund.
- लिक्विडिटी फंडिंग जैसे शेयर बाजार या म्यूचुअल फंड से फंडिंग के जरिए वेंचर कैपिटल जुटाने में असमर्थता।

- Penalties upto 5 lakh if compliances are not done at right time ie tax returns are not filled at right time.

- सही समय पर अनुपालन नहीं होने पर यानी सही समय पर टैक्स रिटर्न नहीं भरने पर 5 लाख तक का जुर्माना।

- Public disclosure is the main disadvantage of an LLP. Financial accounts have to be submitted to Companies House for the public record. The accounts may declare income of the members which they may not wish to be made public.

CORPORATION

- In business structure like partnership & LLP the funds required to runs the organization are limited to the investment done by the partners of the firm. However if the organization is to be operated in large scale it requires funding which may not be fulfilled if the business structure of firm is in form of sole proprietorship , partnership, LLP.

- साझेदारी और एलएलपी जैसी व्यावसायिक संरचना में संगठन को चलाने के लिए आवश्यक धनराशि फर्म के भागीदारों द्वारा किए गए निवेश तक सीमित होती है। हालाँकि, यदि संगठन को बड़े पैमाने पर संचालित किया जाना है, तो इसके लिए धन की आवश्यकता होती है, जिसे पूरा नहीं किया जा सकता है यदि फर्म की व्यावसायिक संरचना एकमात्र स्वामित्व, साझेदारी, एलएलपी के रूप में है।

- Therefore to raise the problem of funding the organization sells portion of ownership called stock share. The individuals who purchase the stock share are called stock holders. T he stock holders invest money through purchase of stock share & became owner of the organization.

- इसलिए फंडिंग की समस्या को उठाने के लिए संगठन स्टॉक शेयर नामक स्वामित्व का हिस्सा बेचता है। स्टॉक शेयर खरीदने वाले व्यक्तियों को स्टॉक होल्डर कहा जाता है। शेयरधारक स्टॉक शेयर की खरीद के माध्यम से पैसा लगाते हैं और संगठन के मालिक बन जाते हैं।

- Thus such business structure in which owners are the stockholders are corporation. The money invested by stockholder allows the organization to enlarge the business & hopefully generate profit. The stockholder then receive a portion of profit as a return on their investment.

- इस प्रकार ऐसी व्यावसायिक संरचना जिसमें मालिक शेयरधारक होते हैं, निगम होते हैं। स्टॉकहोल्डर द्वारा निवेश किया गया पैसा संगठन को व्यवसाय का विस्तार करने और लाभ उत्पन्न करने की अनुमति देता है। स्टॉकहोल्डर को तब लाभ का एक हिस्सा उनके निवेश पर रिटर्न के रूप में प्राप्त होता है।

- Corporation is defined as a separate legal entity that separate from its business owners. It is owned by stockholders & operated by board of directors.It has all the legal rights & duties as that of an individual that is it can be suied & it can suied anyone.

- निगम को एक अलग कानूनी इकाई के रूप में परिभाषित किया गया है जो अपने व्यापार मालिकों से अलग है। यह स्टॉकहोल्डर्स के स्वामित्व में है और निदेशक मंडल द्वारा संचालित है। इसके पास एक व्यक्ति के रूप में सभी कानूनी अधिकार और कर्तव्य हैं, जिस पर मुकदमा चलाया जा सकता है और यह किसी पर भी मुकदमा कर सकता है।

- Three key types of persons in corporation:-

- Stock holders
- Board of directors
- Officers

- Stock holders:-
- Stock holders are the owners of the business organization till they hold the stock share of firm within themselves.
- They purchase share of the organization to invest money in the organization for its business expansion.
- Since they are the owners of the firm hence they elect the board of directors.

- स्टॉक होल्डर व्यवसाय संगठन के मालिक तब तक होते हैं जब तक वे अपने भीतर फर्म के स्टॉक शेयर को धारण करते हैं।वे अपने व्यवसाय के विस्तार के लिए संगठन में पैसा लगाने के लिए संगठन का हिस्सा खरीदते हैं।चूंकि वे फर्म के मालिक हैं इसलिए वे निदेशक मंडल का चुनाव करते हैं।

- Board of directors :-

- They are elected by share holders.
- They develops the plan & policies to run the corporation.
- They are basically mainly either stockholders with maximum shares or top executives of the related field.
- They appoint officers to execute the plan & policies of the corporation.

- Officers:-
- They are appointed by the board of directors.
- They are employee of the corporation.
- They are responsible for daily operation of the organization.
- There role is manage all the business activities in the business market.

ADVANTAGES:-

- Limited liability. The shareholders of a corporation are only liable up to the amount of their investments. The corporate entity shields them from any further liability, so their personal assets are protected.

- सीमित दायित्व। एक निगम के शेयरधारक केवल अपने निवेश की राशि तक ही उत्तरदायी होते हैं। कॉर्पोरेट इकाई उन्हें किसी भी अन्य दायित्व से बचाती है, इसलिए उनकी व्यक्तिगत संपत्ति सुरक्षित रहती है।

- Source of capital :- the corporation can raise their funds by selling the ownership of firm to stock holder.

- पूंजी का स्रोत :- निगम फर्म के स्वामित्व को स्टॉक होल्डर को बेचकर अपना धन जुटा सकता है।

- Unlimited life span:-
- As the ownership are transferable as the stock holder can sell their share to other stockholders very easily therefore its life is not limited as the ownership can be passed to different investors.
- चूंकि स्वामित्व हस्तांतरणीय है क्योंकि स्टॉक धारक अपना हिस्सा अन्य शेयरधारकों को बहुत आसानी से बेच सकता है इसलिए इसका जीवन सीमित नहीं है क्योंकि स्वामित्व विभिन्न निवेशकों को दिया जा सकता है।
- DISADVANTAGES:-
- It has only one major disadvantage.
- *Double taxation*. Depending on the type of corporation, it may pay taxes on its income, after which shareholders pay taxes on any dividends received, so income can be taxed twice.

ENTREPRENUER	MANAGER
➢ They are owner of the business.	➢ They are just employee of organization.
➢ They are visionary people & bear all risk.	➢ They work for salary & doesn’t bears any risk.
➢ They focuses on starting & expanding of organization.	➢ They focuses on day to day operation of the organization.
➢ They are rewarded by profit for their risk bearing exercise which is uncertain & sometimes may be negative also.	➢ They are rewarded with increment in salary, bonus, allowance which is fixed & always positive that is certain in nature.
➢ They requires innovative talents.	➢ They requires conceptual skills.
➢ They are decision makers.	➢ They are decision implementers.

START-UP	ENTREPRENUERSHIP
➢ High innovation:- There has to be a definite uniqueness in business model, product & services start-up is offering.	➢ Limited innovation:- They may adopt existing business ideas & technology
➢ Lesser initial profit :- most start-up doesn’t early profit ,however when idea clicks it will earn large revenue.	➢ Higher initial profit :- They expect higher profit in early phase of business.
➢ Stat-up should have scalable ideas:- this means when idea clicks it can be applicable to different geographical areas.	➢ Limited expansion potential thus doesn’t requires scalable ideas.
➢ They are not localized that is having no fixed market place.	➢ They localized that is having fixed market place.
➢ High in risk.	➢ Less in risk.

Introduction to Business Idea

- Every new business, new product or service and new marketing approach has started with an idea. Generating new ideas can be a very burdensome task. Putting them into practice can be much harder.

- प्रत्येक नया व्यवसाय, नया उत्पाद या सेवा और नया विपणन दृष्टिकोण एक विचार के साथ शुरू हुआ है। नए विचार उत्पन्न करना बहुत बोझिल काम हो सकता है। उन्हें अभ्यास में लाना बहुत कठिन हो सकता है।

- A good idea is nothing more than a tool in the hands of an entrepreneur. Finding a good idea is the first step in the task of converting an entrepreneur's creativity into an opportunity.

- एक अच्छा विचार एक उद्यमी के हाथ में एक उपकरण से अधिक कुछ नहीं है। किसी उद्यमी की रचनात्मकता को अवसर में बदलने के कार्य में एक अच्छा विचार ढूंढना पहला कदम है।

- A promising venture always starts with a brilliant business idea. Successful entrepreneurs are innovators or problem resolvers who come with ideas to solve the existing problem of society & earn profit.
- Main characterstics of business idea:-
- Fullfill the need:- it must fulfill the need of the society.
- Clear focus:- business activity must be clear & focused.
- Innovative:- modern technology must be adapted.
- Uniqueness:- the business model must be unique & new.
- Sustainable:- the business idea must be such that the business must exist for certain period of time.
- Longer profit:- the business must earn profit for a long term.

NEEDS OF BUSINESS IDEAS

- Enable entrepreneur to utilize his skills:-
- The business ideas are generated by entrepreneur on the basis of his skill.
- He generate ideas to utilize the skill he has.
- An entrepreneur has technical, market & any other skill ,if he generates ideas based on his skill it gives him confidence to enter in the market.

- Enable the use of available resources:-
- The entrepreneur generates ideas on the basis of the available resources like men, material,machine e.t.c
- The ideas are generated for better utilization of the available resources.

- Demand of society:-
- An entrepreneur generates ideas to fulfill the demand of society .
- He generates idea to produce product & deliver services to customer for as per customer satisfaction.

- Problem of society:-
- The ideas are generated on the basis of problem of society.
- An entrepreneur generates idea to eliminate the problem of society.
- They generate idea to produce product & deliver services which gives person of society a greater relief.
- In simple words we can say that society problem or market problem generates business ideas

ASPECTS FOR DISCOVERING BUSINESS IDEAS

- End user benefit:-
- An entrepreneur should introspect & what the real customer benefit is & what problem are solved with the product & services for which he generates the business ideas.

- The key to marketing success is not to produce large product either in number or in types rather the products are produced & services are deliver to satisfy customer needs .

- People buy product & services to satisfy his needs or eliminate his problem.

- Market :-
- A business ideas can succeeds only when the product & services for which entrepreneur generates ideas has commercial values that is when market accept it.

- It is the second important aspect of a successful business idea to identify how big the target market is for product & services offered & how it differentiate itself from product of his competitors

- Revenue mechanism:-

- The business ideas should clearly reflect the manner in which the revenue is earned & in what quantum of revenue to be earned by selling the product or services.
-
- In simple words from when period of time will be the revenue started to be generate & in what amount the revenue will be generated.

- Challenges:-
- The business is so setup on the basis of an idea ,should not only be for profit but also be sustainable in line with legal , social & environmental challenges.

SOURCES OF IDEA GENERATION

- Idea generation is basically act of forming ideas.

- It is a creative process or procedure that company uses in order to find out solution against the challenges infront of the society.

- Idea generation creates platform for innovation,

- Sources of business ideas:-
- External ideas:- Those ideas which are generated from the outside of the business organization.
- Customers:- On the basis of customer demands / need / problems business ideas are generated.
- Competitors:- On the basis of lag of competitors ,business ideas are also generated.
- Suppliers:- On the basis of information of gather from suppliers what problem he is facing in market or what is the problem of market , business ideas are also generated.

- Trade fairs/ Trade magazine:-Through trade fairs & trade magazine business ideas are also generated on basis of various information gathered.

- Internal sources:-

- Research & development:- Every business organization has its own research & development department which continuously focusses & studies the scenario of market.
- Through the study they gather information what kind of product & services are in demand & generates ideas on basis of it.

- Employee:-
- Employee produces /manufactures the product, they also helps in generating ideas by giving their advice to top management authority about new method /process/technology to produce demanding product in best way.

- Complaints system:- Every organization has feed back system system through which any outside person can give feed back what kind of product is required through this also business ideas are generated.

- Brainstorming:-
- It is a process of group discussion in which people participate in a group discussion to express different business ideas freely without the fear of criticism.

- Even sometimes strange ideas encouraged & are accepted with open hands.

- In this process one idea may combine with other idea to generate a new idea.

- SCAMPER:-
- Scamper is an idea generation technique
- S-substitute:-what are the substitute of existing product & services.
- C-combine :- various ideas are combine to form new idea.
- A-adapt :- new ideas are generated by adapting new techniques.
- M-modify:- new ideas are generated inorder to modify product/services
- E-eliminate:- ideas are generated to eliminate society problems.
- R-Reverse:- think in reverse manner to new ideas

- 5W+H Methods:-

- Ideas are generated on basis of who, what, where ,why, when & how

BUSINESS ACTIVITY MAP

- Business activity map is a very powerful technique to visually depict process steps as it shows how a process should function from start to finish.

- Business activity are laid down visually so that every one in the organization can understand the process of operation & participate in the activity as per their needs.

- Business activity map uses flow charts & symbols to answer three essential questions.

- What are the activity in process:-
- As we know that every process is made up of various individual tasks known as business activity, thus when an activity map is prepared every activity must be clearly indicated with all details so that it can be indentified easily by everyone.

- Who does each activity:-
- In activity mapping it is identified who is responsible for particular task.
- Thus activity map makes it clear on role & responsibility of every one participating in business activity of organization.

- When does activity occurs:-
- An activity map will set up each activity with their sequence.
- That is in simple words which activity occurs first & which activity takes place next.
- Thus through activity map sequence of operation are clearly depicted.

- An activity map is used to identify and understand strategic capability by mapping how the different activities of an organisation are linked together.

Symbols used:-

Event/ Motion	Symbol	Explanation
Operation		Operation means an action. It is one of the steps in the procedure. Any operation for making, altering or changing the job is said to be an operation. Eg. Cutting and shaping the wood in the manufacture of furniture.
Inspection		It represents checking for quality and quantity of the items. Eg. Weight check or quantity check or hardness during drug preparations.
Transport		Movement or travel of workers or materials from one location to another. Eg. Steel rods being sent to machine shops from stores.
Delay or Temporary Storage		Delay means the process has stopped due to some reason. It is a temporary halt. Eg. Power failure or waiting for the lift.
Storage		It is the stage of a finished good or raw material waiting for an action. Eg. A finished product in a stock room.

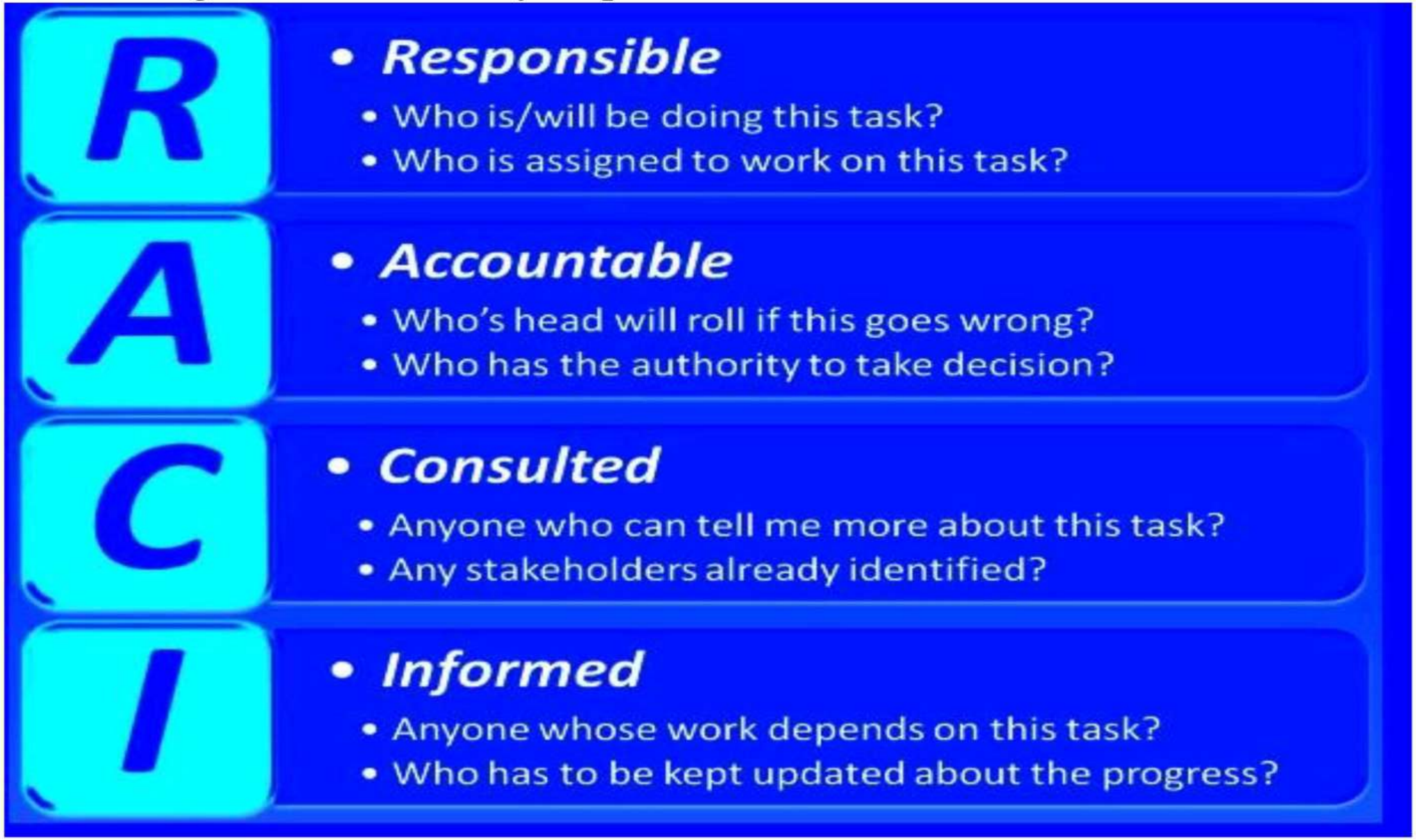
- ADVANTAGES:-

- 1. Activity Mapping Documents your Business Processes:-
- An activity map captures your processes in an easy to understand and easy to follow format. This gives you a blue print for how the process is done.

- Activity Maps Enable Knowledge Transfer:-

- Capturing your processes captures knowledge that would otherwise be lost when employees move on from your organisation. But it is also a great way of sharing best practice ways of doing things throughout your organisation.

- R.A.C.I:-
- Through business activity map we are well knowned with:-



- Reduces the time of production:-
- Through activity map the various activity of the process are well documented.
- This will helps in loss of time in discussion what do to ,who will do & when to do.

- Activity Maps show Opportunities for Improvement:-
- activity mapping captures what is actually happening; who is involved, where information, data, materials are flowing and most importantly the handover points between processes, departments and supply chains.

- Thus the faults in production system can be identified easily which can be easily corrected & improved

BUSINESS PLAN

- A business plan is a written documented strategy for a business that highlights its goals and its plans for achieving them.

- Purposes of a Business Plan:-

- 1. Securing financing from investors:-
- Since its contents revolve around how businesses succeed, break even, and turn a profit, a business plan is used as a tool for sourcing capital. This document helps an entrepreneur's to show their investors or lenders how their capital will be put to work and how it will help the business grow.

- 2. Documenting a company's strategy and goals.:-
- Business plans can span dozens or even hundreds of pages, affording their drafters the opportunity to explain what a business' goals are and how the business will achieve them.
- with the business plan writer being able to speak to the why behind anything outlined in the plan ie what are the reason behind any activity.

3. Legitimizing a business idea:-

- The word legitimizing means making it legal or official.
- It helps the entrepreneur to make his idea patent before introducing to market.
- Thus through business plan the idea of entrepreneur becomes secure.

- What does business plan includes:-
- 1. Business Plan Subtitle:-
- Every business plan has its subtitle this helps the entrepreneur to express his idea in market as through subtitle entrepreneur tells or explain the business in short sentence.

- 2.Executive summary:-
- An executive summary is a short section of a larger document like a business plan, investment proposal or project proposal. It’s mostly used to give investors and stakeholders a quick overview of important information about a business plan like the company description, market analysis and financial information.

- 3. Company description:-
- A company description is important part of a business plan that often briefly describes an organization's history, location, mission statement, management personnel , legal structure e.t.c

- 4. The Business Opportunity:-
- The business opportunity should convince investors that your organization meets the needs of the market in a way that no other company can. This section explains the specific problem your business solves within the marketplace and how it solves them.

- 5. Target Market:-
- Who are the core customers of your business and why? The target market portion of your business plan outlines this in detail. The target market should explain the demographics, psychographics, behavioristics, and geographics of the ideal customer.

- 7. Marketing Plan:-
- Marketing is expansive, and it’ll be tempting to cover every type of marketing possible, but a brief overview of how you’ll market your unique business plan to your target audience.

- 8. Financial Summary
- Money doesn’t grow on trees and even the most digital, sustainable businesses have expenses. Outlining a financial summary of where your business is currently and where you’d like it to be in the future will substantiate this section. Consider including any monetary information that will give potential investors a glimpse into the financial health of your business. Assets, liabilities, expenses, debt, investments, revenue, and more are all useful adds here.

- 9.Team:-
- Here the organization explains the key member of organization ,number of members in organization to attract the investor to raise the funds.

- 10. Funding Requirements
- Remember that one of the goals of a business plan is to secure funding from investors, so you’ll need to include funding requirements you’d like them to fulfill. The amount your business needs, for what reasons, and for how long will meet the requirement for this section.

INTRODUCTION TO TARGET MARKET

- A target market is a group of potential customers that you identify to sell products or services to.

- Each group can be divided into smaller segments. Segments are typically grouped by age, location, income and lifestyle.

- Once you've defined your target audience, you'll find it easier to determine where and how to market your business.

- Steps in target marketing:-

- Segmentation:-
- Targeting:-
- Positioning:-

- Segmentation:-
- Segmentation means to divide the marketplace into parts, or segments, which are definable, accessible, actionable, and profitable and have a growth potential.

- In other words, a company would find it impossible to target the entire market, because of time, cost and effort restrictions. It needs to have a 'definable' segment - a mass of people who can be identified and targeted with reasonable effort, cost and time.

- Segmentation is done by fours basis:-

- Geographic basis-The definition of geographical segmentation is a marketing strategy that involves dividing customers into groups based on geographic characteristics
- Divide the market place on the basis of:-
- State
- City
- Population
- Climatic conditions

- Demographic segmentation basis:-

- Demographics segmentation is defined as a market segmentation method that divides market place based on variables such as age, gender, income, etc.

- This segmentation helps organizations understand consumer behavior accurately that in turn, helps them perform better.

- Demographic segmentation is done on basis of:-

- Age of customer.
- Gender of customer.
- Income of customer.
- Profession of customer.

- Psychographic segmentation basis:-

- Psychographic segmentation is the method of dividing marketplace by dividing customers into groups using psychological characteristics including personality, lifestyle, social status, activities, interests, opinions, and attitudes.

- Behavioral segmentation basis:-

- It divides the market place on the basis of behavior of customers.

- how do they buy good/products (online/offline)
- When do they buy goods/products(time, month)
- What type of offer they expect while purchasing (flat discount/ gift e.t.c)

TARGETING

- Targeting is a process of selecting a target market. For targeting a market for business following steps are followed:-

- Conduct market research:-
- Before targeting the market a research is done what are the needs of the customers & what does the customers demands & expects from products (quality & price).

- Industrial analysis:-
- In this we analyse the product which is to be manufactured on the basis of similar product made by the competitors already available in the market.

- What is product price & quality of product which is delivered by our competitor to the customers so that we can identify where the competitors are lagging .

- Customer analysis:-

- In this we analyse in the types of customers that is what number & in what region the customer satisfaction by already available product is not achieved.

- This helps a lot in targeting a market.

- POSITIONING:-

- Positioning in marketing is a strategic process that involves creating an identity/ image of the brand or product within the target customers' minds.

- Once the segmentation & targeting is done the positioning is done.

- In this we promotes the product /services & differentiate the product & services with respect to the product & services of our customers on following basis:-

- Pricing:-
- Promotes our product/services to our targeted customers (audience) on basis of price that is the product /services which we are delivering is at reasonable cost as compared to our compitetors.

- Quality:-
- Promotes our product/services to our targeted customers (audience) on basis of quality that is the product /services which we are delivering is with better quality as compared to our competitors.

- Convenience:-
- Promotes our product & services to our targeted customers(audience) on basis of availability & easily achievability.

- In this company launches their product /services in both online & offline mode.

- User group:-
- In this company explains their product/services to the targeted customers why it best for this user group & only made for this user groups.

- For example , Johnson’s vs. Axe. While Johnson’s baby shampoo positions itself as gentle for children, Axe body spray targets men.

BENEFITS OF TARGETING MARKETING

- Marketing to a targeted audience can have several benefits compared to marketing to everyone:

- Increased efficiency: By targeting a specific group of people, you can make the most of your marketing budget and resources. You can tailor your message, product, and strategy to meet the specific needs and interests of your target audience, leading to a higher return on investment.

- Better conversion rates: When you market to a targeted audience, you are more likely to reach people who are genuinely interested in your product or service. This leads to higher conversion rates, as people are more likely to take action when they see a message that relates with them.

- Deeper customer relationships: By targeting a specific audience, you have the opportunity to build deeper relationships with your customers. You can better understand their needs and preferences and use this information to create a more personalized experience.

- Better brand recognition: When you consistently target the same group of people, they become familiar with your brand. This leads to better brand recognition and can help you establish a strong reputation within your target market.

COMPETITIVE EVALUATION

- Competitive evaluation is also known as competitor analysis.

- It is basically a strategy where you identify major competitors in the market which delivering same kind of product & services, research their product ,sales & business strategies.

- By doing this, you can create solid business strategies which helps you in improving the product/services which you are delivering with respect to your compitetors.

- Thus through competitor analysis you can know about the weakness of your competitor & make that of as your strength on the basis of that improve your product & services & become “KING” of the market .

- Needs /benefits/advantages of competitive analysis:-

- It also enables you to stay a top of industry trends and ensure your product is consistently meeting — and exceeding — industry standards.

- Helps in making your product unique among all the available products & differentiate with them.

- Enables you to identify what your competitor is doing right. This information is critical for staying relevant and ensuring both your product and your marketing campaigns are outperforming industry standards.

- Tells you where your competitors are falling short — which helps you identify areas of opportunities in the marketplace, and test out new, unique marketing strategies they haven't taken advantage of.

- Learn through customer reviews what's missing in a competitor's product, and consider how you might add features to your own product to meet those needs.

- How to do a Competitive Analysis:

- 1. Determine who your competitors are:-
- Divide your “competitors” into two categories: direct and indirect.

- Direct competitors are businesses that offer a product or service that could pass as a similar substitute for yours, and that operate in your same geographic area. Example Maruti Suzuki & mahendra both manufactures cars.

- On the other side , an indirect competitor provides products that are not the same but could satisfy the same customer need or solve the same problem. Example bike manufacturer & scooter manufacturer.

- Note:-When comparing your brand, you should only focus on your direct competitors.

- 2. Determine what products your competitors offer.
- At the heart of any business is its product or service, which is what makes this a good place to start.

- You'll want to analyze your competitor's complete product line and the quality of the products or services they're offering.

- You should also take note of their pricing and any discounts they're offering customers.

- 3. Research your competitors' sales, tactics and results:-
- What channels are they selling through?
- Do they have multiple locations and how does this give them an advantage?
- Do they have partner reselling programs?
- What are their customers' reasons for not buying?
- What are their revenues each year? What about total sales volume?
- Do they regularly discount their products or services?
- How involved is a salesperson in the process?

- 4. Analyze how your competitors market their products.
- Analyzing your competitor's website it is the fastest way to gauge their marketing efforts. Take note of any of the following items and copy down the specific URL for future reference:

- Do they have a blog?
- Are they creating whitepapers or ebooks?
- Do they post videos or webinars?
- Are they using static visual content such as infographics and cartoons?
- Do they have a FAQs section?
- Do you see press releases?
- What online and offline advertising campaigns are they running?

- 5. Learn what technology stack your competitors' use.
- Understanding what types of technology your competitors' use can be critical for helping your own company reduce friction and increase momentum within your organization.

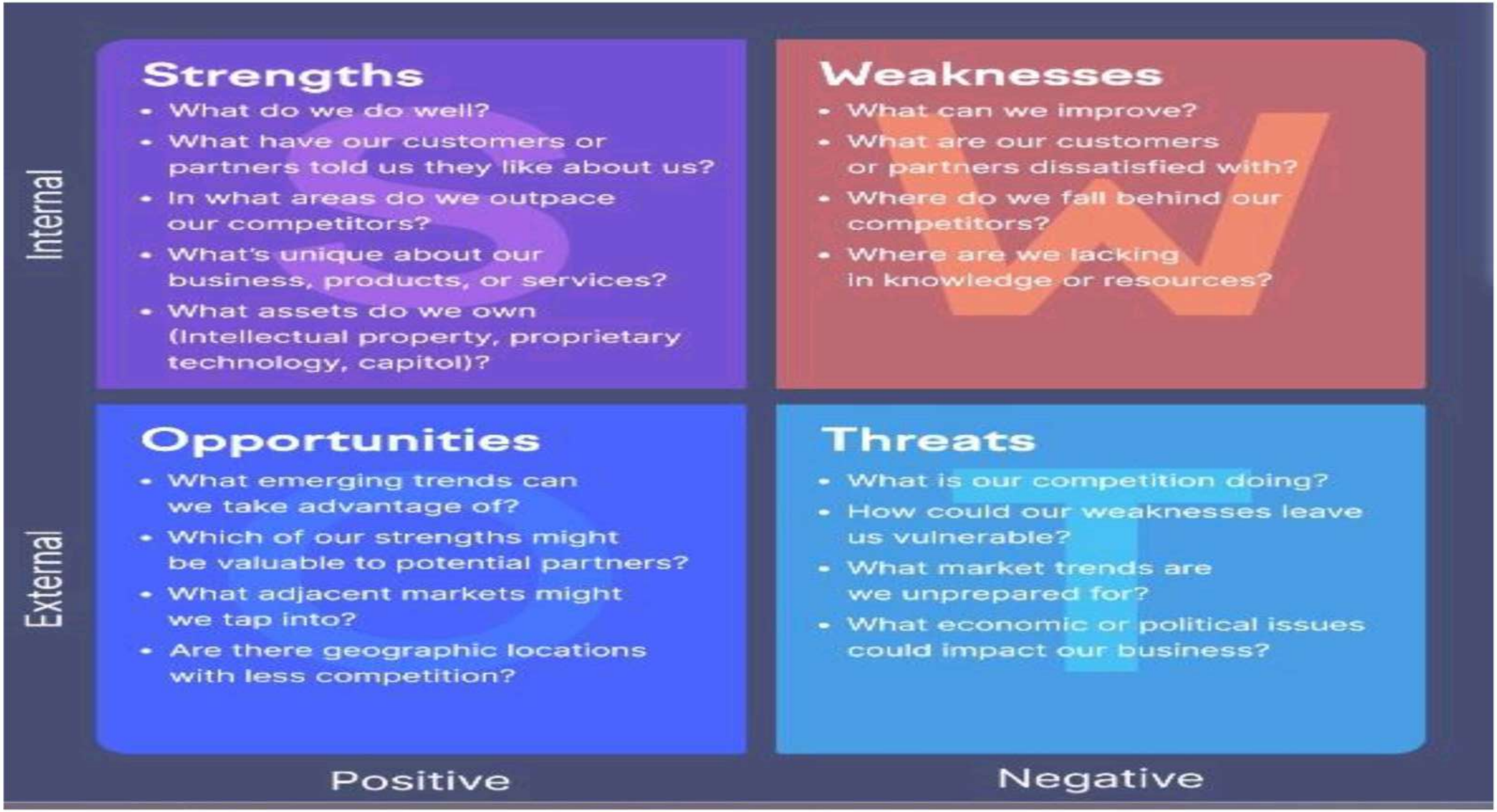
- 6. Analyze the level of engagement on your competitor's content.
- To gauge how engaging your competitor's content is to their readers, you'll need to see how their target audience responds to what they're posting.

- Check the average number of comments, shares, and likes on your competitor's content and find out if:

- The comments are negative, positive, or a mix
- People are tweeting about specific topics more than others.
- Readers respond better to Facebook, you tube, Instagram , snapchat & other social media platforms.

- Perform S.W.O.T analysis:-
- S- strength
- W-weakness
- O-opportunity
- T-threats

S.W.O.T ANALYSIS



ACCOUNTING & MARKETING

- Marketing and accounting are both key functions in the running of a business. However, they are different areas of operations with a different focus.

- Marketing looks outside of the company to the customers and the organization's relationships with them while accounting aim on the monetary affairs of the business.

- Accounting is all about numbers. It is the process by which a company records its outgoing and incoming income & balance them against each other.

- Accounting records the nature and value of each transaction performed by the company. This includes the purchase of a service, product or material, the sale of a service or product, and expenditures of any other kind, including staff wages, taxes paid by the organization, overheads for company premises or interest on financial loans.

- Marketing concerns public relations between a company and its customers.

- It is concerned with the company getting the right product into the right places to satisfy a need identified in its customer base.

- It is also about ensuring that customers are aware of the availability of a company’s product, through means such as advertising and other product promotions.

ACCOUNTING & MARKETING TOGATHER

- Although accounting departments and marketing departments are separate and distinct, but they must work together to monitor sales trends and to manage the effectiveness of marketing campaigns.

- When the two departments work togatherly, sales trends are tracked, marketing campaigns are budgeted wisely, resources are allocated efficiently, and the business runs more smoothly.

- Accounting department determines a business's financial condition, which in turn gives a marketing department a budget in which to operate. By keeping track of sales trends, accounting departments inform senior management as to whether the organization can allocate more fund to marketing.

RISK ANALYSIS

- It is also known as Risk Assessment.

- Risk in business are those unwanted & uncertain factors which are having hazardous impact on the functioning of organization which causes the organization to suffer loss.

- Therefore it is very much necessary to eliminate or reduce these unwanted , uncertain factors inorder to protect the organization from suffering the losses.

- The process of identifying ,assessing & prioritizing risk & developing strategy to reduce or eliminate them is called risk management.

5 steps in risk management:-

1. Identifying your risk:-

- This involves looking all aspect of your business including operations, finance & other activities.

- Risk in operational activities:-
- Interruption in supply of resources.
- Interruption in production due to technical failure.

- Risk in financial activities:-

- Sudden increment in prices of resources required for production.
- Sudden increment on tax rate on loan /debt.
- Sudden increment labour cost.

- Risk due to other activities:-
- Natural calamities (flood ,earthquake etc)
- Man made calamities(fire ,explosion etc)
- In identifying risk you must have to consider both external risk like market changes & competitors threat & internal risk like employee turnover & equipment failure.

2. Assessment of risk:-

- When the risk are identified then it is important to assess the likelihood & impact of risk.
- In this we analyse the probability of each risk occur & what is the intensity of the consequences of each risk this will help in prioritizing the risk helps in determing which will require most attention.

- Risk management strategy:-

- Once the identification & assessment of risk is done then the required strategy are develop to minimize the risk or eliminate the risk. Following strategy are follows:-

- 1. Avoiding Risks:-
- If a product or service poses more risks than benefits, then it may be necessary for an organization not to invest in that product or service. If there are geopolitical risks that can threaten an organization's projects, it may be a better choice to avoid those risks and select a different region to launch a project.

- 2. Accepting Risks
- Sometimes avoidance isn't an appropriate response, and acceptance may be the better practice. When a risk is unlikely to occur or if the impact is minimal, then accepting the risk might be the best response.

3. Mitigating Risks:-

- This means identifying the risk, assessing all possible solutions, devising a plan, taking action, and monitoring the results. For example, to mitigate risk of new product production, a project team may decide to implement product testing to avoid the risk of product failure before the final production is approved.

- 4. Risk Transferring
- There are when challenges or issues arise and you or your team may not be able to avoid, accept, or mitigate them. One example may be a lack of expertise or training required to address the risks. In this case, it may be a good idea to transfer the risk to another party for example risk can also be transferred to an insurance company, which may reimburse organizations for certain realized failure.

4. Implement the risk management strategy:-

- Once the risk management strategy are developed then its time to put them into action.

- This may include changes to your business operations, implementing new policies , or investing into new product & technology.

5. Monitor & review the risk management plan:-

- Risk management plan is not an one time effort , it is required to continuously monitor & review the risk management plan to ensure its effectiveness.

- This includes reassessing your risk & updating the strategy if required

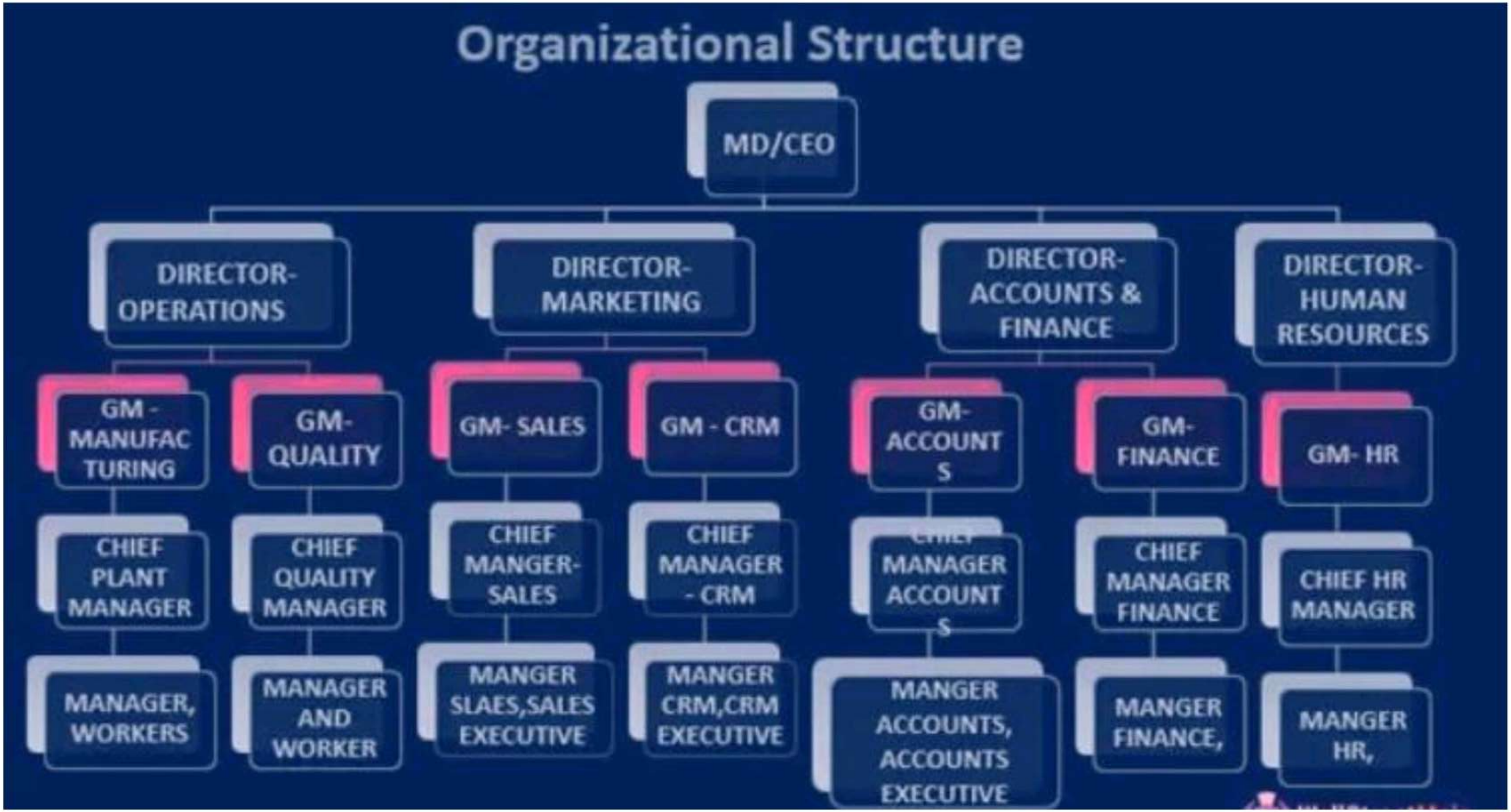
ORGANISATIONAL STRUCTURE

- Organizational structure (OS) is the systematic arrangement of human resources in an organization so as to achieve common business objectives.

- It outlines the roles and responsibilities of every member of the organization so that work and information flow seamlessly, ensuring the smooth functioning of an organization.

- The organizational structure often shows the “chain of command” and how information moves within the company.

- Employees want to understand their job responsibilities, whom they report to, what decisions they can and should make and how they interact with other people and teams within the company. An organizational structure creates this framework.


Organizational Structure
MD/CEO
DIRECTOR-OPERATIONS
DIRECTOR-MARKETING
DIRECTOR-ACCOUNTS & FINANCE
DIRECTOR-HUMAN RESOURCES
GM - MANUFAC TURING
GM-QUALITY
GM- SALES
GM - CRM
GM-ACCOUNT S
GM-FINANCE
GM- HR
CHIEF PLANT MANAGER
CHIEF QUALITY MANAGER
CHIEF MANGER-SALES
CHIEF MANAGER - CRM
MANAGER ACCOUNT S
CHIEF MANAGER FINANCE
CHIEF HR MANAGER
MANAGER, WORKERS
MANAGER AND WORKER
MANGER SLAES,SALES EXECUTIVE
MANGER CRM,CRM EXECUTIVE
MANGER ACCOUNTS, ACCOUNTS EXECUTIVE
MANGER FINANCE,
MANGER HR,

- An organizational structure is the arrangement of an organization’s workforce according to job responsibility and ranking.

- It ensures the proper functioning of an organization by establishing its chain of command and workflow.

- Organizational structure enables quick decision-making and better coordination and communication among employees resulting in enhanced productivity.

ELEMENTS OF ORGANISATIONAL STRUCTURE

- Following are the elements on the basis of which organization creates its structure:-
- Work specialization:-
- It defines how the responsibilities are allocated to the employee based on their job profile in which their job skills are mentioned.
- By this any project is divided into small activities and distributed to the required employee.
- If this is not done correctly then the organization gets fails to operate.
- In this decision are made what are the things to do & who will do.

- Formalization

- Formalization is a process of creating rules , regulations , procedure e.tc for the employee for how to work in organization.

- It is very much necessary for the descipline of organization & well being of employee.

- It is just a method of creating a work standard for employee in organization.

Departmentation:-

- Departmentation refers to the process of grouping related activities or functions into specialized units known as departments within an organization.

- It is derived from the word ‘department’, which means an organization’s distinct area or division responsible for specific tasks or functions.

- Departmentation involves dividing the organization’s workload into smaller, manageable units, allowing employees to focus on their specific areas in which they are expert.

- As a result, departmentation streamlines the functioning of an organization and helps in achieving its objectives more efficiently.

- Chain of command:-
- It is link or connection from top level of management to the inline workers working within the organization.
- It represents a system for passing information which may be either inform of instruction or report within the organization.
- Through this top management instruct their right inline workers to implement their decision & inline worker give report of the activity to correct top level management.
- Through chain of command correct information is passes to correct one thus increases productivity & effectiveness.
- Through this every one know whom to instruct & whom to report.

- Span of control:-
- Span of Control can be defined as the total number of direct subordinates that a manager can control or manage. The number of subordinates managed by a manager varies depending on the complexity of the work.

- For example, a manager can manage 4-6 subordinates when the nature of work is complex, whereas, the number can go up to 15-20 subordinates for repetitive or fixed work.

- Generally, two types of span can be seen in organizations that are:

- Wide Span of Control:-When one manager supervises many subordinates, it shows a wide span of control. It is also called Operative Span as it is generally applicable at the lower or operating managerial level.

- Narrow Span of Control:-When one manager manages a few subordinates, it shows a narrow span of control. It is also called the Executive span because it is applicable at the top or middle managerial level.

- Centralization & decentralization:-

- It is the most important element of organizational structure. It defines how higher authority ,managers ,employee & staff gives there input to company goals.

- In centralization top authority has ultimate power & control over decision while in decentralization managers & staff are allowed to impact the business decision.

DECENTRALIZED	CENTRALIZED
Middle and Low Level Managers have decision making power	A few upper management members have decision making power
Authority is given to those who are closer to stakeholders	Authority is given to those who are at the top of the chain of command
Organizations are self-sufficient	More standardization
Faster decision making	More control
More expensive	Less expensive
More creativity	Limited creativity

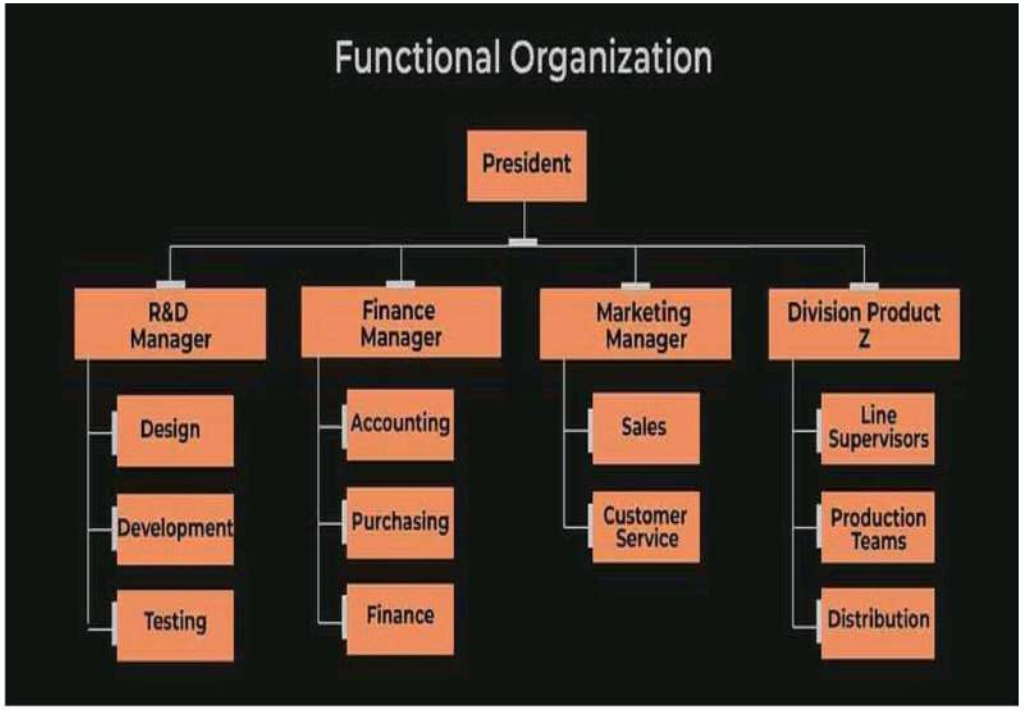
TYPES OF ORGANIZATIONAL STRUCTURE

- Organizational structure are of following types:-

- Functional structure:-

- A functional structure divides the organization into small units known as departments based on there functions.

- It a team structure that groups employees into different departments based on areas of expertise. This type of structure is one of the most common types in business, especially in larger companies, where groups of employees are organized according to the function they perform.



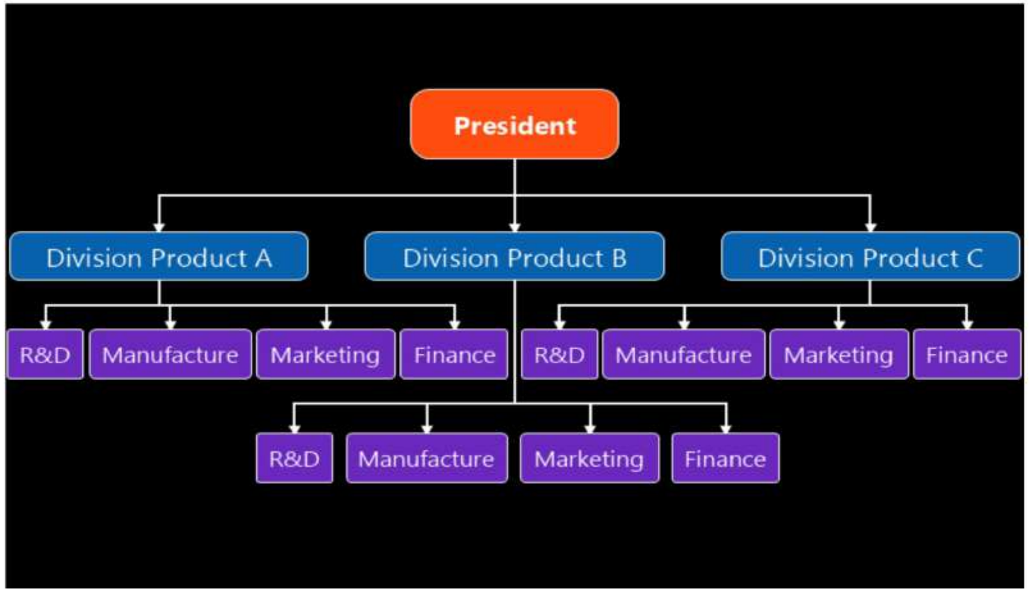
- Divisional structure:-

- Divisional structure is usually followed by big companies like TATA, ADANI etc which manufacture more than one one product based on the demand of different geographical locations.

- It is a system in which a company segments its employees based on products or markets, as according to their job roles.

- Through this organizational structure organization can:-

- Produce & sell wide variety of products in different geographical locations



- Matrix structure:-

- It is an organizational structure which is multiple chain of commands.

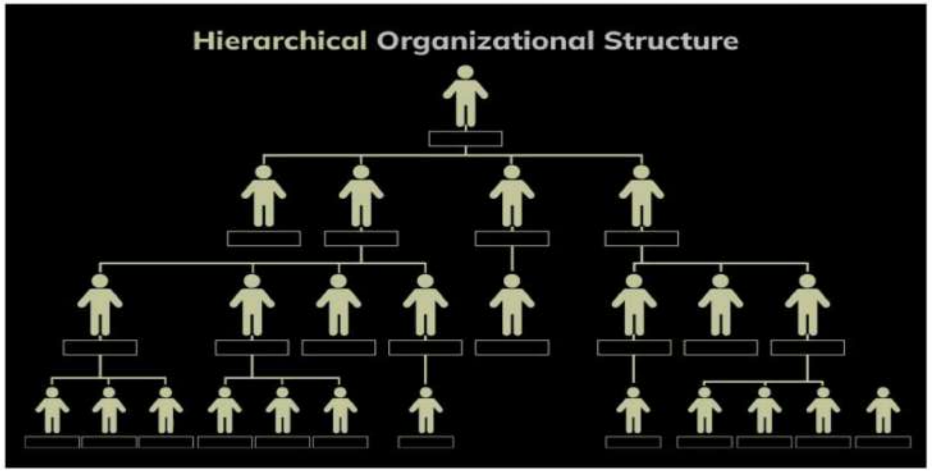
- That is in this the employee or inline workers have to respond & report to several heads / manager at one time.

- Due to having multiple supervisors allows the organization to have greater interaction, communication resulting in faster product delievery.

- Hierarchical structure:-

- It is an organizational structure that contains a direct chain of commands from top management of organization to bottom .

- Senior management makes all critical decisions, which are then passed down through subsidiary levels of management. If someone at the bottom of this organizational wants to make a decision, they pass the request up through the chain of command for approval,



- A hierarchical structure operates well when there are few products that are sold in high volume, so that tight control can be maintained over the design, quality, production, and distribution of goods

TALENT MANAGEMENT & RECUITMENT

- The term talent management refers to the commitment of an organization to identify, manage, develop & retain the talented employee for the growth & outperformance of the organization.

- Talent management is the integral part of human resource management known HRM.

- Objective of talent management:-

- Filling the gaps:-
- The primary object of this process is to bridge the gap between talented person in the organization & the talent they require to achieve the required goal of organization.

- Enhancement of performance:-
- It aims to improve the level of performance of employee in current position inorder to make them ready for next level of transition.

- Accurate decision making:-

- This process helps in making correct decision about employee promotion based on the performance & contribution in the organization.

- Operational objectives:-

- Organization invest a lot in this process to increase the skill of talented employee to meet the upcoming challenges of the market so that the organization sustain in the market with great level of success by prforming all the required operation to meet goal of organization.

- Steps in talent management process:-

- Talent identification:-

- It involves in identifying & selecting employee which have the capabilities to perform the concerned activity in a best way.

- This is done by continuously monitoring & evaluating the performance of the employee.

- Talent development:-

- Once the talented employee is identified/ selected organization works & invest on them by giving proper training to them .

- This helps them to perform better in present scenario as well in upcoming future with challenges.

- Talent retention:-

- It involves all the process & strategies required to retain the talented employee in the organization as the organization has invest a lot in them.

- This can be done by giving the right salary , time to time extra allowance & bonus, providing opportunity for their carrer growth & by providing a greta working culture.

- BENEFITS OF TALENT MANAGENT:-

- Right person for right job:-Through talent identification we identify the talented employee for doing the task thus through this we can allocate right person for right job.

- Retaining the top talent: Through talent management top talented employee are retained which is very much advantageous for organization in upcoming challenging future.

- Understanding Employees Better: Employee assessments give deep insights to the management about their employees. Their development needs, career aspirations, strengths and weaknesses, abilities, likes and dislikes.

- It is easier for management to identify what are weakness & strength of employee.

- Create a large workforce of talented employee:-

- By giving proper training skills of talented employee are enhanced which helps the organization to meet the challenges of upcoming markets & outperform in market.

RECUITMENT

- It is defined as a process of identifying , attracting, interviewing & selecting the employee to work for the organization.
- In simple words it is a process of finding the right people to work for a company organization at right post based on their capabilities or potential.
- Recuitment is very important function of HRM department.
- It is very much important for any organization to have right people in right post/role inorder to achieve the goal /objective of organization in best way.

- Various steps in recruitment:-

- Job analysis:-
- In this organization analysis what are the skills ,knowledge & capabilities are required in employee for achieving any specific activity in the organization.

- It is basically a process of collecting all information related to operation & responsibilities of specific jobs.

- This information helps in creating the job description/profile & job specification to attract those people who understands that they are fit for the role to perform required job/activity as mentioned in job description/profile & job specification.

- In job description following things are mentioned job title, duties & responsibilities to perform ,machine & equipment to operate ,location ie where to perform .

- In job specification it is mentioned what are the qualification & qualities required to perform job ie experience ,education ,training & skills

- Job sourcing:-
- Sourcing refers to the process of searching for identifying and contacting potentially correct candidates for specific activity.
- This is done by job posting through advertisement, through help of certain agencies & several referals from within or outside the organization.
- Job screening:-
- It is a process of analyzing potential candidates to determine whether they are correct for the right post/role or not.
- This is done by interviewing the potential candidates & decided whether they meet all the requirement as mentioned in job description/specification.

- Job selection:-

- Selection is the process of picking or choosing the right candidate, who is most suitable for a vacant job position in an organization.

- After screening it becomes very much easy to decide which candidate is right of specific activity in the organization.

BENEFITS & CHALLENGES OF RECRUITMENT

- Attracting the potential candidate:-
- It helps the organization to attract candidates who believe they are correct for the vacant position in the organization by self analyzing them on the basis of the requirement mentioned in the job description & specification.
- Increases the productivity & turnover of the organization:-
- If correct candidates are selected for specific activities then all the activities are performed in best way resulting in achieving high productivity & increases the income of organization which is the ultimate goal of organization.
- Creating a large talented workforce:-
- Through selecting right candidate in right role a talented workforce is created who meet all the upcoming challenges of organization.

- Improves the Credibility of the Organization
- A business organization’s reputation is boosted by a strong recruitment process.

- If correct candidate are selected for specific post then all activities are done in best way . The main objective of organization is to produce or create services as required by their customer & this is achieved if there is right people in right role.

- If customer gets what they want then it will build credibility of organization in market.
-
- Challenges:-

- Talent shortage:-
- 87 percent of HR profession has mentioned that there are fewer or no qualified application for concerned vacant post due to absence of correct skill, experience & training.

- It is very much challenging to select correct candidate.

- Attracting the right candidates:-

- A common struggle for HR professionals working in recruitment is finding the right candidates for the position they're advertising.

- One way of mitigating this issue is ensuring the job description is properly refined and establishes a clear list of necessary skills and job requirements. This is a quick way of attracting the right people and supporting a ‘pre-screening' process to identify individuals not right for the role.

- Time consumption:-

- The recruitment process can be time consuming & for selecting correct people HR professions requires time & some time due to lack of time & under pressure they may require unqualified candidate in organization.

- Cost effectiveness:-
- Recruitment process involves lot of cost involves particularly in the process of advertising, screening & sourcing this is also a biggest challenge for the organization.
- Biasing :-
- In some cases organization may select wrong candidate due to referrals this leads to exclusion of correct candidate & inclusion of wrong candidate .

FINANCIAL MANAGEMENT

- The word finance means acquiring funds / money for an organization for its smooth functioning.

- Financial Management is defines as the process of managing or controlling flow of money or fund in order to accomplish the overall objectives of the organization .

- The main objective of financial management:-

- 1. Maximization of wealth:-
- In this organization aims to raise the necessary & required money known as funds for the functioning of the organization.

- 2. Maximization of profit:-
- In this organization aims to ultilize the fund in best possible way by eliminating the wastage of fund due to improper allocation & maximize the profit.

- Maintenance of Liquidity:-
- With the help of proper financial management, the organization can easily monitor the regular supply of liquidity in the company.

- But it is not as easy as it sounds. To maintain the proper cash flow, the organization must keep an eye over all the inflows and outflows of money to reduce the risk of underflow and overflow of cash.

- Improved Efficiency
- Financial management is also beneficial in increasing the efficiency of all sections and departments of the organization.

- If the finance is effectively distributed to all the departments then they will work efficiently. It will support the company to achieve its targets easily which will be further helpful for the growth of the entire company.

SCOPE OF FINANCIAL MANAGEMENT

- SCOPE OF FINANCIAL MANAGEMENT:
- The main objective of financial management is to arrange sufficient finance for meeting short term and long term needs. The organization will have to concentrate on the following areas of finance function:-

1.Estimating financial requirements:
The first task of a financial manager is to estimate short term and long term financial requirements of his business. The amount required that are needed for proper functioning of the organization.

2.Deciding capital structure:
After deciding the amount of funds required it should be decided which type of securities should be raised for the shake of which funds can be raised.

- 3. Selecting a source of finance:

- If finance is needed for short term periods then banks loans , public deposits and financial institutions may be the appropriate.

- On the other hand, if long term finance is required then share capital may be the useful.

- 4. Selecting a pattern of investment: When funds have been procured then a decision about
- investment pattern is to be taken. A decision will have to be taken as to which assets are to be purchased?

- The amount of funds will have to be spent first on fixed assets and then an appropriate portion will be retained for working capital and for other requirements.

- 5. Proper cash management:
- Organization has to assess various cash needs at different times and then make arrangements for arranging cash.

- Proper Cash management may be required to purchase of raw materials, make payments to creditors, and meet day to day expenses.

- 7. Proper use of surpluses:
- The utilization of profits is also an important factor in financial management. A judicious distribution of profit is essential for protecting the interests of share holders.

TYPES OF FINANCIAL MANAGEMENT

- CAPITAL BUDGETING:-

- It is a process in which organization decides about the investment they had to make in the future.

- These investments may include new projects acquisitions, or expansion of existing projects.

- It is not only a process of making decision for investment but in this it is also decided where to invest so that maximum profit can be generated.

- All the decision regarding investment comes under capital budgeting.

- The things in which investment is done is called project.

- Steps in capital budgeting:-

- Project identification:-
- The first step in capital budgeting is to identify projects in which to investments that align with the company's strategic goals and objectives. This may involve conducting market research, analyzing industry trends.

- Project evaluation:-
- once the project is decided where to invest they are analysed on the basis of return & risk.

- Project selection:-
- On the basis of project evaluation finally that project is selected for investment which gives maximum return with minimum risk.

- Project investment monitor:-
- Once the company selects the appropriate investments, they implement them and monitor by tracking the performance of the investments to ensure they meet their expectation.

- Capital structure:-

- Capital structure means proportion of debt & equity present in the fund for financing the operations of business.

- Capital means funds required for operation & structure means what amount of fund are raised from where that is either from debt or equity.

- The capital structure of a company is a critical factor to estimate the overall financial health and performance, as it determines the amount of financial risk that the company can accept and the amount of interest and dividends that it might pay to its creditors and shareholders.

- Working capital management
- Working capital management is the process of ensuring the company has the necessary capital available to keep the company operational and meet sudden expenses.

- This involves managing company accounts, cash flow, and production schedules to ensure everything done in right time in right way.

- Key factors of working management capital:-
- Management of proper cash flow:-
- Managing proper cash recievable.
- Managing inventory.

Communication of Ideas to potential investors – Investor Pitch

- Entrepreneur must be a good communicator.

- 1. Communicating your vision
- A successful entrepreneur must be able to articulate their vision and goals to potential investors, partners, and employees. Without this crucial step, it can be difficult to attract the right team or secure funding.

- 2. Building relationships
- Entrepreneurship is all about building relationships, and communication is the foundation of those relationships. Effective communication skills can help entrepreneurs establish and maintain strong connections with investors, customers, suppliers, and employees.

- 3. Negotiating
- Whether securing funding, negotiating a partnership agreement, or closing a sale, entrepreneurs must be skilled negotiators. Effective communication helps a lot during negotiation.

4. Crisis management
every entrepreneur will face a crisis at some point. Effective communication skills are essential for managing these situations, from crisis communications to internal messaging to employees.

5. Team building
As an entrepreneur, you need a team to help you achieve your vision. Building a team that shares your passion, values, and vision is key, and communication is the tool that will help you achieve that.

- Presentation tips for pitching to investors:-

Pitching to investors is a crucial step for any entrepreneur looking to grow their business. Here are some presentation tips for pitching to investors:

1. Start with a strong hook:-

The first few minutes of your presentation are crucial for capturing the attention of your audience. Start with a strong hook, such as a surprising statistic or an interesting story, to pique their interest and set the tone for the rest of your presentation.

2. Be clear and concise

Investors are busy people and have a limited amount of time to hear your pitch. Make sure your presentation is clear and concise, with a clear structure and a focus on the most important information.

3. Use visual aids

Visual aids such as slides, infographics, or videos can help you convey your message more effectively and keep your audience engaged.

4. Know your numbers
Investors want to see that you have a clear understanding of the financial side of your business. Be prepared to present your financial projections, revenue streams, and other key metrics that demonstrate the potential for growth.

5. Highlight your unique selling proposition
Investors want to see what sets your business apart from the competition. Be clear about your unique selling proposition and what makes your product or service valuable to customers.

FINANCING METHODES FOR ENTREPRENUER

- The money required by the entrepreneur to establish & run the enterprise is called funds.

- The methods by which the funds are raised is called financing methods.

- Hence financing methods are also known as start-up funding.

- There are various funding methods for start-up:-

- Personal source:-
- Many start-up doesn’t raise funds from the third party ,they are funded by the founders & family relative of founders only to prevent the debt & equity dilution.

- For this they use their personal savings mainly.

- Angel investors:-

- An angel investor is a wealthy person who invests his or her own money in a company—usually a start-up—that is in the early stages of development.

- Angel investors expect to take ownership positions in the companies they support because their capital is unsecured—they have no claim on the company's assets. Their ownership may take the form of equity or convertible debt. They also tend to have clear exit strategies for ending involvement with the business.

- They are known as angels as because they often invest in risky , unestablished, unproven enterprise for which other source of loans are unavailable.

- Some popular angel investors:-

Anupam Mittal Founder & CEO – People Group, Rajan Anandan Managing Director – Sequoia Capital, Girish Mathrubootham CEO – FreshWorks

Rohit Bansal Co-founder of Snapdeal, AceVector and Titan Capital

- Venture capitalist:-

- Venture capital industry have for main players
- Entrepreneur that need funds.
- Investors that need high return.
- Bank who need companies to give loans
- Venture capitalist who make market for other three.

- Venture capital is a firm that invest people money in start-up enterprise & small business that have believed to have long term growth potential.

- They provide large investment as compared to angel investors.

- They provides fund to company & become share holder or become partner of the firm.

- Accel Partners, Blume Ventures, Kalaari Capital, Nexus Venture are popular venture capital in india.

- Debt Financing
- Loan from Banks & NBFCs
- Banks and Non-Banking Financing Companies(NBFCs) grant loans and become business leaders and not owners, unlike VCs and angels. These loans so procured can be used for various business needs like:

- Purchase of inventory and equipment
- Operating capital (working capital)
- Fund requirement for expansion etc
- However, there are several drawbacks of this funding option. The interest on loan has to be paid periodically irrespective of how your business is faring.

- CGTMSE Loans

The Ministry of Micro, Small & Medium Enterprises (MSME), Government of India launched Credit Guarantee Trust for Micro and Small Enterprises MSE) scheme to encourage entrepreneurs.

Under the scheme, one can get loans of up to 1 crore without collateral or security. Any new and existing micro and small enterprise can take the loan from all scheduled commercial banks and specified Regional Rural Banks, NSIC, NEDFi, and SIDBI, which have signed an agreement with the Credit Guarantee Trust.

PATENTING & LICENSING

- A patent is a right granted for an invention that is new and useful.

- A registered patent provides the owner of the invention with the exclusive right to exploit it commercially for the life of the patent.

- The owner also has the right to license others to make, use or sell the invention or products made using the invention.

- Patent gives exclusive right to the owner exclusive right implies that no one can else can make, use , market the invent without the consent of patent holder.

OBJECTIVE

- To provide protection of creativity of creators.
- To promotes the creativity of new creators.
- To accelerate the technological and industrial development of the countries.
- To provide the exclusive right to invention and affords protection against unauthorized use of invention by third parties.

CHARACTERISTICS OF PATENT

1- Invention must be "NEW"-Invention must never have been made public in anyway, anywhere before the date on which the application for a patent is filled.

2-An invention must involved an "Invention Steps"- The invention must be non-obvious to person skilled in that particular art, ie, it must not follow plainly or logically from what is already known.

3- Invention must be having "Industrial Application"- For the patentable , the invention has to be capable of industrial application.

- It can be used in an industry.

LICENSING

- It is an contractual agreement between two business entities where by licensor allows to licensee to use its…
- ❖**Technology**
- ❖**Patents**
- ❖**Trademark**
- ❖**Designs**
- ❖**Processes**

In exchange for a fee pr a royalty.

DEFINITIONS

- The transfer of rights to manufacture or market a particular product to another individual or organization through a legal arrangement or contact. it usually require that a fee, commission, or royalty is paid to the licensor.
- The person granting the license is usually called the licensor.
- And the person receiving the license is called licensee.

OBJECTIVES

- The major objective of licensing system is to give

Effect to the industrial policy of government.

- To protect and promote small scale sector.
- To regulate foreign capital and technology
- To encourage exports and substitution of imports.
- To regulate government rules and balanced industrial policy.

EXIT STRATEGY FOR ENTREPRENUER

- A business exit strategy is a plan that a founder or owner of a business makes to sell their company, or share in a company, to other investors or other firms.
- There are various exit strategy for an entrepreneur:-
- Merger and acquisition exit strategy:-
- In this the entrepreneur merges his enterprise to another company or organization.
- It cab be also be said that other organization acquire the entrepreneur enterprise who who may want to increase their geographic footprint, eliminate competition, or acquire your talent, infrastructure or product.
- Family succession:-
- The family succession exit (or legacy exit) is the idea of keeping a profitable business ‘in the family’.
- In this entrepreneur transfer the ownership of his enterprise to the people of his own family who is capable of holding the ownership.

- Acquihires:-

- The term Acquihire is a combination of the words 'acquisition' and 'hire’.

- It is also an exit strategy for an entrepreneur in which the other organization hire the employee of an enterprise who is willing to exit its business.

- This is very beneficial to the organization who hires the employee as it get skillfull workforce for his organization.

- Management and employee buyouts:-

- Management & employee buyout occurs when both management & selected employee join together to take over the firm in which they are working & thus creates a exit pathway for the entrepreneur of business enterprise.

- Liquidation:-

- The term “liquidate” means converting property or assets into cash or cash equivalents by selling them on the open market.

- Liquidation similarly refers to the process of bringing a business to an end and distributing its assets to public.

- Bankruptcy:-

- When an organisation is unable to honour its financial obligations or make payment to its creditors, it files for bankruptcy. A petition is filed in the court for the same where all the outstanding debts of the company are measured .

- The court becomes responsible for liquidating the personal property of the insolvent and distributing it among the creditors.

Harvesting

- After enterprise start-up, the entrepreneur invests time, effort and money with the intent of growing the business. The entrepreneur invests time, effort and money to make money from the firm in the future.

- Through such entrepreneurial efforts, the entity accumulates value.

- In case, the business could be vulnerable to hostile takeovers ie easily captured by other.

- A hostile takeover is a type of acquisition where a company (the acquirer) takes control of another company (the target company) without the approval or consent of the target company's board of directors.
- Thus harvesting the business provides the entrepreneur with maximum returns on the investment made.

- Business harvesting is defined as a systematic practice by which the entrepreneur recovers value gained by the entity through the selling of individual assets or the entire firm as a whole.